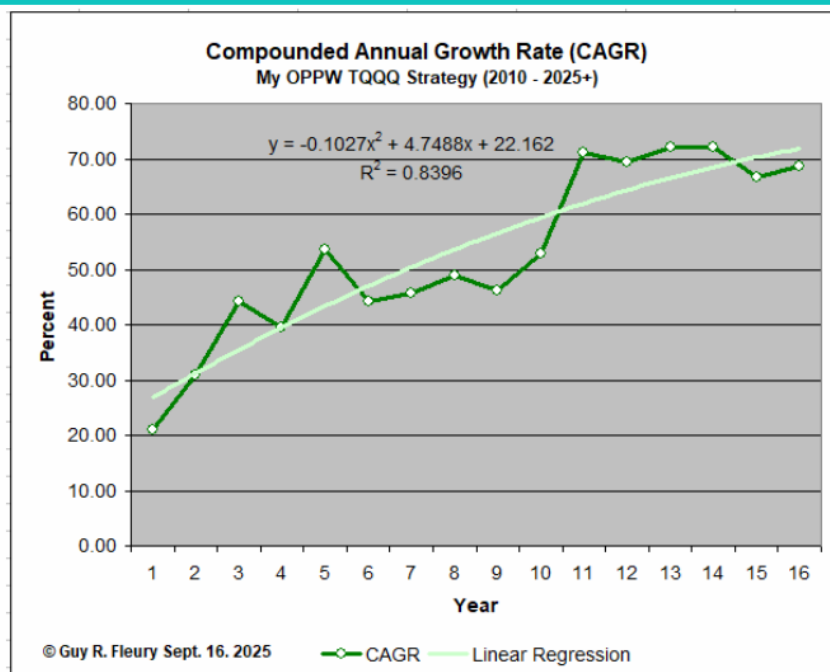


My One Percent Per Week TQQQ Trading Strategy: OPTIMIZING?



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In this paper, my primary objective is to demonstrate how one can utilize my singular strategy to accumulate a substantial retirement fund over the next 15 to 20 years.

The series of articles and papers on my **One Percent Per Week** TQQQ trading strategy started in early May 2024 and covers many aspects of this rather exceptional strategy. This new paper includes unexpected features.¹

It is essential to understand the inner workings of my strategy before applying it, or a variant of it, for years to come. You have to convince yourself that the underlying trading methods and the endeavor itself will be worthwhile.

It was not about building a retirement fund with a long-term 10% to 20% CAGR, but one that can exceed a 50% compounded return over those years, starting with relatively modest means.

The difference in perspective is easily evaluated. A 20% CAGR over 20 years applied to an initial capital of \$100k gives: $\$100,000 \cdot (1 + 0.20)^{20} = \$3,833,760$, which is not so bad. But compared to a 50% CAGR, it looks relatively small: $\$100,000 \cdot (1 + 0.50)^{20} = \$332,525,673$. The difference is: \$328,691,913. That is the potential reward for seeking a 50% compounded return over those 20 years.

You should be in charge and manage your portfolio as you see fit. Even override the trading procedures if you wish, whenever you like.

OPTIMIZATION METHODS?

Since the origin of Modern Portfolio Theory (MPT) in the 1960s, optimization has been at the center of portfolio management. It is understandable. The search for the "optimal" portfolio has never stopped. The quest is to achieve the highest possible compounding annual growth rate (CAGR) over the long term.

I aim to answer the questions: Can the market, on average, offer me better than the market average in some way, or am I condemned to navigate close to that market average over the long term? What can I do to outperform the markets? Or, are my average long-term expectations limited by a so-called "efficient frontier"?

There is no need to optimize or improve a trading strategy if it does not increase the outcome.

¹ There are 37 articles and papers in this series.

A trading script does not write itself as a one-shot deal. It takes time and numerous attempts to assemble the pieces and have the program run smoothly without crashing. Let alone have that program produce something that you would find interesting and worthwhile.

In a stock trading portfolio, you seek two things: higher long-term returns and lower risks – a contradiction all by itself.

Can you use optimization to handle whichever you prefer? Yes. Can you do both at the same time? Yes. Is it worthwhile to do so? That is the big question, since optimization can lead to overfitting, which can be detrimental in the long run, as some have often written in academic and financial literature. And if you have designed trading strategies before, you know your trading script could falter badly once it starts trading live.²

I am well aware that things can go wrong, and in this game, it can happen rather quickly. It will be even faster if you are dealing with a 3x-leveraged ETF. Nonetheless, not all trading strategies go bust as soon as they go live. Refer to my walk-forward article from June 2025, which provided a more positive outlook and showed that the outcome continued to increase even after June 2025.³

We can optimize a trading strategy for a stock portfolio using past market data, but can we really optimize for an unknown future?

Shouldn't my forecasts include the coming 10, 15, to 20 years? Shouldn't my evaluation methods have a mathematical expectation of coming true? How can I confidently state that this investment method will exceed the 50% CAGR mark in 10 to 15 years, without knowing what the future holds?

That, too, is an important question that remains unsolved. It might be why most money management firms (some 70% to 75%) apparently fail to exceed long-term market averages. It has been so for generations; should I not expect the same to be true in the future? Shouldn't we at least have close to 50% of those financial firms, money managers, investment funds, and family offices beat these long-term market averages by a substantial margin?

It might explain why some \$15+ trillion is invested worldwide in index funds, which have as their sole mission to achieve long-term market averages, as their name implies.

Why do so many people estimate that the average long-term returns offered by index funds might be the best they can do?

² Check out [A Walk-forward Example](#) for an illustration of a strategy breaking down bad.

³ See [My One Percent Per Week TQQQ Trading Strategy: A WALK-FORWARD](#).

Notwithstanding, it is not only a question of optimization. It is also about the methods used to optimize a stock portfolio that should be questioned. This is going far. Are there that many optimization methods? Yes. The financial literature of the past 50 years is replete with thousands of papers, books, and reviews on various techniques for optimizing stock trading strategies using historical market data. I will emphasize "historical" market data.

The problem is that no one can prove that those methods actually work over long future time intervals, which could be considered their real future. They project a future, then rebalance, and later rebalance again, while modifying the code. And each time, they ignore their previous forecasts. No one looks at their earlier forecasts or requests their updates. Their authors also stop mentioning those forecasts due to their terrible outcomes. As if ignoring all their past blunders makes their new estimates that much more valid.

I rarely trust those forecasts. I have to verify for myself if what is said is well-founded. And after a month, I have already forgotten those earlier forecasts, and therefore, never re-questioned them. If you rebalance every month, every week, or every day, are you really making a forecast? Are you making an optimization, or are you just trying to adapt to market changes?

Each time I read one of those papers,⁴ it usually ends with: we need more research on this or that! It is as if their conclusions were not definitive, but rather an educated guess about what might happen if certain conditions were to occur. However, you never get this: it will give you a 20%+ CAGR over the next 20 years with a 95% probability. They can only do that if the aimed CAGR is less than 10%. Even then, they will express it as likely, and not as: you will get. There is a difference there.

Optimization is closely related to overfitting. And overfitting is most often viewed in the same negative light as optimization. Whether you split your past market data in attempts to simulate on a more recent section that was not involved in the strategy's makeup, or you do a walk-forward to show the merits of your trading strategy. It all gets to the same point: the right edge of the price chart.

*Will you trust your trading strategy sufficiently to put **YOUR** money on the table and follow its trading methods?*

Should you follow Mr. Buffett's trading and investment methods, as mentioned often in my articles? He has been successful at it for over 55 years, and has managed a 20% CAGR over the period. That was a discretionary long-term investment methodology, which nonetheless involved making many trades over those years.

In an effort to optimize your future return, you scrutinize correlations on small groups of stocks over a relatively short term to optimize the portfolio weights. But there

⁴ I have read hundreds of those.

again, you have to assume that the future will resemble the past, and that the stocks you selected would perform the same in relation to each other when they all appear as if they were on their own individual path to an unknown future.⁵

Regardless, your objective is to build a retirement fund that is large enough to provide you with absolute financial security for the rest of your life. And have the ability to enjoy the proceeds of your investment while also taking care of your loved ones.

*That is a simple objective; **we all have the same.***

It may be time to go beyond market averages. It may be time to explore alternative methods and consider whether they could also apply to you. But, most importantly, would you take charge and implement them yourself? That is the point I would like to make in **My One Percent Per Week TQQQ Trading Strategy: OPTIMIZING?**

You will need to gain the self-confidence to carry it out for 10, 15, or 20 years or more. I can describe what the strategy does and show its merits, but you will be the one to apply it in your future.

You need to prove to yourself that it works
and that it will also work in the future.

Without that self-confidence, how could you adopt such a trading strategy that needs to be nurtured and taken care of for many years?

MY TRADING STRATEGY'S STRUCTURE

Any short-term trading strategy involves designing trading rules, whatever their nature. The goal is to set some trading procedures that will trigger trades, determine when to enter and when to exit, based on clear logic and market data, to generate a profit.

It is the same as any discretionary trading method; you need a Buy order to get in and a Sell order to get out. You are the one to decide on both, whether it is discretionary or using a computer program.

In building your retirement fund over the years, you will need many one-week trades to achieve your goal, since in this strategy, all trades last at most one week. You know you will win some and lose some; that is not the problem. But you definitely want to win the overall game. There is no reward in building your fund if after 14 years you see it all crumble down the next.

In short-term trading, you need reasons to get in and to get out, no matter how simple or complex those trading rules may be. It could be as straightforward as buying

⁵ Enron at one time was going to the moon. It did cost me a lot to think so! And, I was not alone.

QQQ and holding for the next 20 years for a 15%+ compounding annual growth rate (CAGR). A single decision and job done: $F(t) = \$100,000 \cdot (1 + 0.15)^{20} = \$1,636,653$. If it is enough for you, go for it; nonetheless, note that a 3% inflation rate would reduce that amount to \$964,629.

The proposed strategy trades the QQQ ETF by proxy, using its 3x-leveraged version: TQQQ. It is QQQ we are actually trading, amplified three times percentage-wise. It is an important notion. You will be leveraging your portfolio by a factor of 3, and you should expect about 3 times QQQ's daily return. It means that by selecting TQQQ, you expect more volatility but also a higher return than market averages.

All the data should focus on QQQ's trading characteristics and its short-term volatility, as trades typically last only one week. A 2% change in one week on QQQ is equivalent to a 280% return for the year. Yes, there is higher volatility in the short term than we usually consider. Even a 1% change per week translates into a 67% compounded annual return. It is the same for TQQQ. A 2% move on TQQQ is much easier to get, and it will happen more often than with QQQ.

We are limited by what can happen during those 4 or 5 trading days of each week. It has far-reaching implications; we will cover some of them.

For one, if QQQ drops by -15% over three months, you should expect TQQQ to fall by -45%. However, the trade duration is only one week, not three months. There are a lot of things that can happen over three months that can make the QQQ price drop have a less detrimental impact on your portfolio, since you might catch some of the weekly rebounds over the period.

My basic statement on my OPPW TQQQ trading strategy's optimization is:

I cannot optimize market noise.
Is that simple enough?
Regardless, I cannot disprove it either.

No one has ever beaten a fair coin-tossing contest except by luck or by cheating. The probability of winning a thousand tosses was and still is 50%, the same as the probability of losing your bet.

There is no worthwhile measure, no mathematical method that can optimize the game's random-like noise, regardless of the filtering method you choose to use. All randomness tests would hold the hypothesis of randomness in the trade distribution for this trading strategy. And if you cannot distinguish it from randomness, then why not accept that result?

A moving average of any length on those coin flips cannot be of help either. The next coin toss still has a 50% probability that your moving average trends up or down, regardless of its look-back period.

We can easily accept that outcome in a series of coin tosses, but we refuse to do the same on the next trade we intend to make, even when shown that our strategy has a near 50/50 outcome. A 51% hit rate is relatively close to a 50% hit rate. And if you have achieved a 51% hit rate on a single price series of some duration, we cannot exclude the randomness hypothesis either.

Nonetheless, I can still exploit that quasi-randomness. It is where the Type-C trade comes into play in my OPPW TQQQ trading strategy. It is where I take advantage of the trade mechanics and gain a long-term mathematical edge, even if the initial expected return on Type-C trades is zero.⁶

My OPPW TQQQ trading strategy operates on noise. Unpredictable noise.

I cannot make any other claims. But it also trades on the back of QQQ. That is where we can find its strength. We are leveraging QQQ's daily return by a factor of 3. And since to make a profit you need a price difference, even a 1% change in QQQ will move TQQQ's price by 3%.

There is no predictability, no survivorship bias, no selection of profitable trades while avoiding losing trades. No technical analysis, no indicators, no opinions, no trend definitions, no trader's psychology, no wisdom of crowds consensus, no moon phase, no astrology, no gurus, no talking heads, no fundamental data, and no market sentiments. What you have left is quasi-randomness and gaming strategies.

*My OPPW TQQQ trading strategy gambles
and wins due to its trading procedures. Period.*

It gambles its way to long-term profits. Not because it uses any form of optimization, but because it navigates this tumultuous and unpredictable sea of variance. Not by seeking optimal values, but by putting barriers in front of that continuously fluctuating, random-like noise with its random outliers, fat tails, and all.

Nothing is done to avoid weekly declines in price, nor does it favor in any way weeks that end with a profit. It will take every week ending with a profit, with no shame at all, as if it were well-deserved.

It is the trading rules that will make you win, especially the Type-C trade, which gives the strategy its power, as we will see later, even if it produces nothing.

*That is what is unexpected about this strategy: the break-even stop-loss,
even while generating no profits,
will make **you win the game** over the long run.*

In the original version of the OPPW in the Wealth-Lab 8 Example Section, the profit target was at 1%. Evidently, every time the target was hit, the MFEpct (maximum

⁶ I suggest the reading of: **THE ANTICIPATED FUTURE**, which does explain that edge.

favorable excursion percent) would be near that 1% target, which was a new high even at those levels.

That program did not ask if it was optimized or not, but we knew that the MFEpct had to be near that value; otherwise, it would have been a major WL8 software problem requiring some repair. The original version did not inquire about the actual volatility of the thing, as it was initially designed as a generalization for possibly trading groups of stocks with so-so results; nonetheless, the results were positive.

If the WL8 program version is sufficient for you, go for it. It has a positive future with above-market-average returns.

Here is how the original OPPW strategy, as described in 2022, in the first post of the thread dedicated to it on [Wealth-Lab](#).

- On the first trading day of the week, observe the open price of TQQQ right at the open and enter a limit order to buy 1% below that price.
- After the close, enter a limit order to sell at 1% above the position entry price.
- At any point during the week, after the market closes, if the open position is sitting at a loss of -0.5% or more, make the limit exit price equal to the entry price (for an attempted breakeven result.)
- At the end of the week, if the position is still open, sell it at market close, so it doesn't hold over the weekend.

It is after switching to TQQQ, a single ETF, that the results improved. See my first two articles in the series on the OPPW strategy, back in May 2024, which also used QQQ and TQQQ.

I could set any profit target in front of that TQQQ weekly random-like noise. And since I want a profit, I could make it from 0 to 50 to infinity. I would go for infinity, but no program would ever give it, as it would have absolutely no trade exit over the next million years.

The same goes if setting the profit target at a weekly 50% return. It would be about the same as buying on the first trading day and selling on the last trading day of the week at the close, which would tend to a buy-and-hold scenario for the duration.⁷

So I got more reasonable, looking for something within the ETF's price variations. We had 11 years of QQQ weekly returns in 2010 to determine what might be TQQQ's variance if it were a 3x-leveraged version of QQQ (again, see my first few articles on the strategy, starting in May 2024).

⁷ Such a scenario would yield a 41.76% CAGR for buying and holding TQQQ for the duration. However, it would also have come with a -81.75% drawdown.

That I have two, three, or four profit targets based on preset trading rules, whatever they may be, those targets, whenever hit, better be executed. Period. Whichever of those targets is hit, it will need non-conflicting and separate trading conditions; otherwise, the lowest of the group will be the only one executed every time. Any higher profit targets in place will be meaningless once a trade is closed.

Bumping a Type-C trade to a 2.5% profit target in my OPPW TQQQ strategy is a reasonable move, nothing more. This statement is made because someone took that new program feature as some form of optimization, when all it is is a reasonable understanding of price behavior.

The 2.5% profit target execution will often be near the MFEpct. Most importantly, this new profit target is also expected to reach a new high. First, it can happen only after you get a Type-C trade. The position needs to go negative first, stay above its -1.3% warning, but not cross the -1.5% stop-loss level.

Requesting a 2.5% profit if the stop-loss was not executed because the price remained above the -1.5% downside limit is well within the average TQQQ weekly volatility of 15%. By not hitting the -1.5% stop-loss, the price is showing some modicum of strength, even though it is less than the trade that did not reach a Type-C status.

It is no surprise that the 2.5% profit target sometimes gets hit. It is part of the noise. Sometimes, the rebound to the 2.5% target does not occur. But that too is part of the game. Nothing special is done to escape any of TQQQ's price gyrations.

Some traders tend to exit at break-even, after seeing a loss. However, we also observe that the price might not stop at break-even and turn back down again, but instead continues to rise.

It is what my OPPW TQQQ trading strategy aims to capture: TQQQ's inherent volatility, a characteristic common to most stocks.

Whatever the new profit target, for example, the 2.5% on TQQQ, it will be as if a new high were reached in the price cycle, as it reemerges into positive territory.

For a trade that failed to reach its 7% profit target and is running out of time, lowering profit expectations is a reasonable move. You will again have an exit near the max MFEpct for some of those trades, as if near optimal. Why should we be surprised by that?

An optimization would be to set the rebound exit at exactly 2.3756%, which could be the answer provided by an optimization tool. The 2.5% rebound is a reasonable request, given that the price has shown weakness by closing below its opening for the week. It is the same as requesting a 0.83% rebound on QQQ. At times, QQQ

could do that in minutes.

My OPPW TQQQ strategy responds to market noise. A weekly bet that becomes successful not because I picked an "over-optimized" 2.5% target, but because I put a small percent barrier in front of TQQQ's average weekly volatility.

But then, we all have our interpretation of the game, don't we?

The difference between these two strategies, which share 99% identical code, lies in how the trading activity and the general market are perceived.

Table #1: Comparing My OPPW TQQQ Strategy to the WL8 Example Version

Trade Type	WL8 Original Version	My First Version	Context
Open ¹	Wait for $\leq -1\%$ decline	Take all trades	Trade entry conditions
Type-A	$\geq 1\%$	$\geq 7\%$ ²	Profit targets
Type-B	Friday's Close	Friday's Close	Time limit exit
Type-C	Break even	Break even	Break even+
Type-D	Friday's Close	Friday's Close	Time limit exit

¹ This is a change in perception, a conditional entry, against none at all.

² The second change in perception, requesting a higher profit: 7% or 8.1%+.

Two lines of code were changed: the first, instead of waiting for a -1% decline or more, it went all in by buying at whatever the price, with no conditions; the second was that instead of requesting a 1% profit target, it aimed for a minimum 7% profit on the trade. If the position was already at a slight profit at the close of the trading day, it was raised to 8.1%.

These are minor modifications to the trading strategy code, but they are significant changes in perception. It required a bolder interpretation of TQQQ's volatility data and future potential.

QQQ has a weekly average volatility of approximately $\pm 5\%$, which varies over time. It implies that TQQQ should have average price variations within a range of $\pm 15\%$ per week.

Taking only 1% profit when much higher price fluctuations were available was timidly looking at market risks, or at the strategy's potential; whichever is not important. What was is the strategy's performance once those slight program changes were made? It changed the entire perception of those price movements and their forward expectations.

From observation, my program version would now take a position every week, rather than just when the price had first dropped by at least -1%. Second, the order is placed using a limit buy order above the ask, sweeping the ask up to the limit price.

That request for a price drop before entry made the strategy prefer declining markets and avoiding rising prices. The WL8 example strategy could still be beneficial, meaning it would generate a profit over the long term. However, I deemed it insufficient for such a volatile play.

Additionally, in the event of declining prices, TQQQ may not rebound immediately after reaching and exceeding its -1% decline. So you could see more red, more often, and for longer. You could easily end the week in the red, with no rebound to breakeven.

Either version of the strategy had a chicken view of the market, which I liked. I do favor the chicken approach in trading. I see weakness; I prefer getting out of the trade.

If a position experienced a loss, a rebound to break even was sufficient to exit the trade, and that was a wise move. But it would come with no profit for the effort already made. With the 2.5% profit target bump, the program at least receives some compensation. It does not happen often, but it does happen often enough to make a real difference.

From Table #1, Type-B and Type-D trades were always closed at the end of trading for the week.

Both trade types followed this rule. However, in the WL8 example, what could be considered as a Type-B or Type-A trade was most often closed at its 1% profit target, sometimes higher due to a gap up at the open.

As for my OPPW TQQQ strategy, the Type-B trade would also close on the last trading day of the week, but with a profit between 0 and 7%. Otherwise, a Type-B trade would have, for example, changed into a Type-A trade with its higher profit target before the end of the week.

My program code was published in mid-November 2024 with my paper, [Gain Your Financial Freedom](#), and in the Wealth-Lab thread on the strategy (post #105).

The WL8 program was in the example section of the Wealth-Lab 8 program as of 2022. It served as a basic strategy prototype that anyone could use as a starting point with a working and debugged strategy. It had all the working ingredients: one method of entry and four ways to exit a trade.

What I changed is the perception of the trading strategy towards its long-term unpredictable future. I viewed it as gambling, with its set of trading rules that enabled me to build a mathematical edge. And that edge was sufficient to make the game worthwhile, even if the strategy had some rough edges in its first design iteration. There is always a better trading strategy out there, and incidently, you can also

improve your own at will.

If you want to play on long positions only, you should look at the market as if it were going up, and buy strength. If you want profits, you should seek volatility since your profit will depend on the price difference between entry and exit. Your profit request is: $q_i \cdot \Delta_i p_i = x_i > 0$ for trades from $i = 1, \dots, N$. And the whole game is simply:

$$F(t) = f_0 + \sum_{i=1}^N \pm x_i \quad (1)$$

which is the sum of all the strategy's winning and losing trades. Equation (1) is not a complicated equation. It is a simple cumulative bean-counting operation, just as it would appear in your trading account.

Regardless, you need to be reasonable and not exceed the underlying volatility of the thing. For example, setting a 25% profit target is beyond the price variation that TQQQ can achieve in a single week. Therefore, there would be no Type-A trades in such a scenario. And that would not be a surprise either. However, even if you have not seen a $\pm 25\%$ move in TQQQ over the past 15.5 years, it does not mean it could not happen.

However, by targeting about half of the recorded QQQ tripled weekly volatility, it only ensures that many trades will hit that profit target. It is requesting weekly QQQ percentage price variations from 2.3% to 2.7%. Indeed, it will happen often enough.

You do not know beforehand how many or when TQQQ's price will hit your targets, but you know you will have them. You could set your profit target at 20%, which again will not happen often. Nonetheless, there was one such trade out of the 813 over the past 15.5 years. You cannot request profits that are only in the fat tails of the distribution, at its statistical fringe; there are not enough of them, and they are also unpredictable.

If you remove the Type-C breakeven and the Type-A profit target, all trades would end in Type-B or Type-D at the close of trading on the last trading day of the week. This change in procedure would tend to a buy-and-hold scenario, with its new expected outcome of reaching the market average return. As mentioned above, TQQQ achieved a 41.76% CAGR over the last 15.5 years. That would have been: $F(t) = \$100,000 \cdot (1 + 0.4176)^{15.5} = \$22,339,962$, which is better than market averages.

There are only minor differences in the program code of these two strategies, which trade the same ETF. However, those differences make all the difference when you look at the results over the past 15.5 years.

Furthermore, those 15.5 years suggest that this is not a phase, a swing trading strategy, or a trend-following strategy. It shows that, even after 813 trades, the average return is still positive and at a higher growth rate than the average market

return.

Figure #1 below gives the results as of Sept. 12, 2025. It boasts a 68.61% CAGR, which is remarkable for a strategy that requires making only one trade per week, using less than 5 minutes of your time. Your computer could do the job in a few seconds.

You are dealing with random-like price variations to the extent that if your hit rate is about 51.0%, it is not distinguishable from total randomness. You gain a slight edge, a very small one, which is not sufficient to make you prosper enough to consider it a worthwhile solution for building your retirement fund.

You don't have that much time to waste. After 15 years of trading under those conditions, you would have 780 trades, with the expectation of having 398 winning and 382 losing trades; an advantage of only 16 trades over 15 years.

If you put some numbers to that, with an expected and even return distribution, we could have, for example, based on an average $\pm 4\%$ return per trade:

$$F(t) = 0.5200 \cdot \$100,000 \cdot (1 + 0.04)^{398} \cdot (1 - 0.04)^{382} = \$52,830 \quad (2)$$

With the included strategy exposure rate, as will be demonstrated later, we would get \$52,830. Even with that slight edge, the above equation would not be sufficient to assure a profit, and even with its 16-trade advantage, it is not enough. Your portfolio's value would decrease over the years.

You need to go for more with a better thought-out plan.

SETTING THE PROFIT TARGET

If I set a profit target at 7.0% or 8.1%, the position, if sold at its target, will be near the maximum of the MFEpct.

Using equation (2) above, let's raise the average percent win per winning trade to 7% and set the average percent loss per losing trade at -5%. It is the same as accepting more volatility. It will work if the volatility is there. Using the same equation above with these minor adjustments, we would have:

$$F(t) = 0.5200 \cdot \$100,000 \cdot (1 + 0.07)^{398} \cdot (1 - 0.05)^{382} = \$79,646,020 \quad (3)$$

That is much better. Yet, we did not do much strategy-wise. Nonetheless, we inserted an edge.⁸

We did not change the trade distribution; we still have 398 winning and 382 losing trades. The change is how we treated those trade outcomes. We requested

⁸ Refer to my paper, [Fixed Fractions](#), with its methods to reverse long-term return degradation.

an average 7% return per trade on the positive side and also accepted a higher percentage loss per trade, although to a lesser degree. What was important was the spread in those returns.

This description would not be complete without also presenting the $\pm 5\%$ case, which would give:

$$F(t) = 0.5200 \cdot \$100,000 \cdot (1 + 0.05)^{398} \cdot (1 - 0.05)^{382} = \$43,627 \quad (4)$$

Now, that should not have surprised you. In a quasi-normal return distribution, you should expect about the same average return on each side of a bell-shaped curve $\pm \bar{r}$. So, making an average gain of 5% and an average loss per trade of -5% only appears as a natural thing to have in a randomly evolving trading environment.

Yet, you would be losing money in such a scenario, even if you had a slight edge. This last scenario would have been a total waste of your time, even with a 51% hit rate?

That kind of strategy is relatively easy to do: you aim for an average profit target of 5% per winning trade and an average stop-loss of -5% per losing trade for a strategy having close to a 51% hit rate, as if you used a slightly biased coin to make your trading decisions.

Should you manage to get a $\pm 7\%$ for the average return distribution per trade, you would get:

$$F(t) = 0.5200 \cdot \$100,000 \cdot (1 + 0.07)^{398} \cdot (1 - 0.07)^{382} = \$23,508 \quad (5)$$

showing it can only get worse. As in my **Fixed Fractions** paper published in 2014, you need to overcompensate for the inherent long-term return degradation. It is not a choice; it is something you have to do, knowingly or involuntarily, in your trading procedures.

Every effort should aim to reach equation (3), with its 7% average return per winning trade. However, that has everything to do with how the price series may fluctuate over time, and how you execute your trades.

Will the price of the underlying security fluctuate enough to average more than 7% price swings per week? Maybe not.

BACK TO MY OPPW TQQQ STRATEGY

The question again is: Is it optimized or not? As if insisting.

It took a few minutes in April 2024 to recognize that the original OPPW strategy had all the components I needed to start learning C# – nothing complicated: simple entry and exit rules, and not that many lines of code.

It might have been the reason why it was in the WL8 strategy examples provided with its software program. However, I did not like the mindset of it and its being so risk-averse.

I have nothing against being risk-averse. I prefer the chicken approach in the face of market uncertainty in the first place, but I also consider this game more as a CAGR game. I was looking for more compounding than what was provided by the original version (again, refer to my first articles in this series for my early evaluation).

I wanted a positive outlook and more profits in line with some of my other strategies, which I had designed over the past decade. So, I changed the wait for a -1% drop in price before taking a position to get in if positive. Later on, I would reinforce this positive stance by increasing the entry to slightly above the opening ask, ensuring the program would take a position. That worked.

My first observation was that the program did not crash. That was 1-0 in my favor. Things were going great. BTW, Wealth-Lab 8 is a great software tool for designing and simulating trading strategies. I like it, it has everything I need.

Then I changed the profit target to 7%, which made a significant and positive difference. The new outcome suggested keeping that 7% profit target, which is much better than requesting only a 1% return from this highly volatile ETF (refer to the second article in the series). All it required was to change one character for the profit target: $(\text{EntryPrice} \times 1.01)$ to $(\text{EntryPrice} \times 1.07)$. As simple as that.

You have the outcome of the strategy increasing with the program changes in my [first article on the OPPW TQQQ](#) strategy (see Figure #6). Figure #1 of the same article showed how QQQ would have evolved using the WL8 original program version, with its start in the year 2000. The annual volatility of QQQ was 14.16% (see Figure #2). However, I did not like the exposure rate at only 19.54%. That was too low. You spent less than 20% of the time in the market. There was surely a way to do better.

You play a game where your presence is rewarded if, and only if, you participate; and if, on average, your bets are productive. If you have a positive edge, the easy solution is to make as many bets as you can.

Also, holding your positions longer will increase your participation and capture some of the underlying upside bias in stock prices.

With a one-week time limit on all those trades, simplicity suggested taking them all. It would increase the average market participation percentage-wise. Later, I will look at being even more selective on those potential trades.

The trading rules for the OPPW strategy lack finesse. Initially, it was the structure of the strategy. I wanted something that could comply with my portfolio equations.

You will find many portfolio equations I have used over the years. All to explain the outcome of a portfolio trading stocks. One equation of interest, for my strategy, is the product equation, which goes like the following:

$$F(t) = f_0 \cdot \prod_1^N (1 \pm r_i) \quad (6)$$

where $\pm r_i$ is the return on trade i . The program's equation will compound those returns week after week, trade after trade, whatever the outcome $\pm r_i$. The problem with the formula is that you will know the outcome of all r_i for past data, but nothing about what they might be in the future.

What does this have to do with optimization when it is not what drives this trading strategy? Equation (6) can explain the strategy's outcome, but it does not make it predictive.

In Figure #1 below, you have the portfolio metrics for my OPPW TQQQ strategy as of Sept. 12, 2025 (Friday after the close).

Back in 2010, had you known, you might have accepted to play the game. However, the problem with that is that you were not there, or might not have been interested in such a contraption as a 3x-leveraged QQQ scenario. My program version dates back to May 2024; it did not exist before.

Furthermore, even if I perform a simulation using past market data, it does not indicate how it will perform in the future from this point forward.

You have a more basic question: if you could not have executed this strategy, what is its value?

You perform a simulation to determine if your trading rules would have been effective in the past, over a sufficiently long period, allowing you to extract statistical behavioral outcomes and averages. It is like letting the strategy's trading history show how it behaved under the encountered market conditions and the trading barriers you put across its path.

With my OPPW TQQQ strategy, we are dealing with percentages. For example, the 7% profit target remains the same percentage, regardless of the bet size. It is the series of weekly returns that becomes of interest.

The portfolio metrics tell that story in detail. It is up to you to read that history and observe what the strategy did over the years and why it behaved as it did. The why is the difficult part to answer.

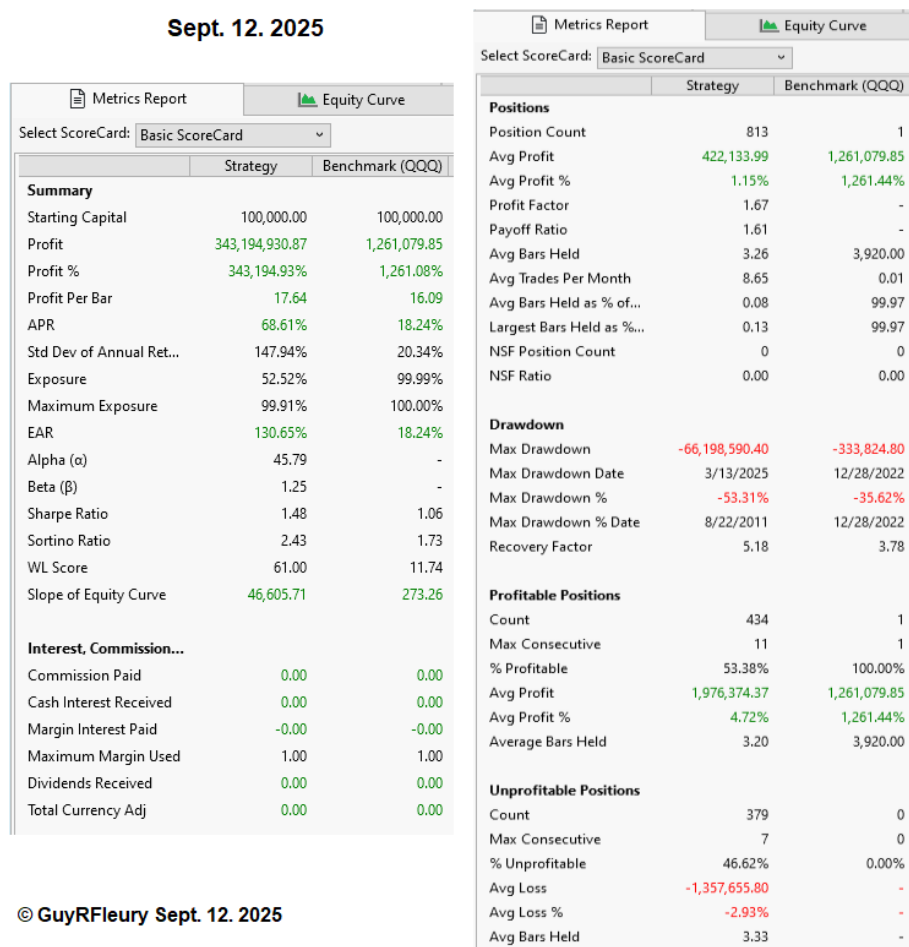
Updating the portfolio equation as shown in my July 2025 article, [WANTING MORE](#)

with the numbers in the portfolio metrics screenshot (Figure #1), we would have:

$$F(t) = 0.5252 \cdot \$100,000 \cdot (1 + 0.0472)^{434} \cdot (1 - 0.0292)^{379} = \$343,058,052 \quad (7)$$

this, as of Sept. 12, 2025. It is sufficiently close (differences are mostly due to rounding). We have a better edge with a 53.38% hit rate. It is still relatively close to a 50/50 proposition. Regardless, I will take any edge I can get.

Figure #1: My OPPW TQQQ Portfolio Metrics (Sept. 12, 2025).



([Click here to enlarge](#))

Figure #2 is the equity curve corresponding to the portfolio metrics in Figure #1.

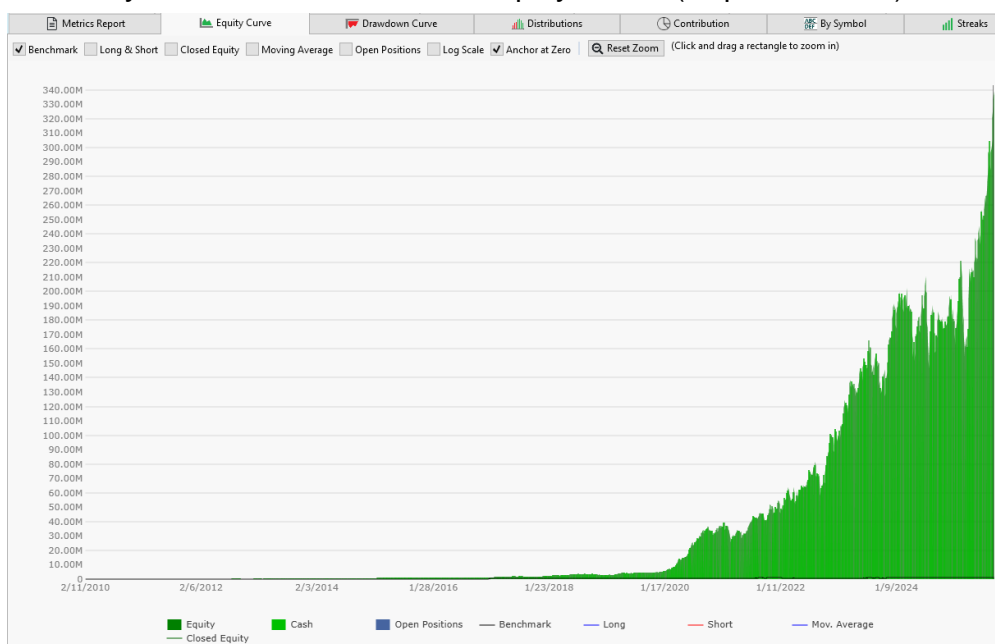
I re-state that Figures #1 and #2 started with an initial capital of \$100,000. In 15.5 years, the strategy reached a 68.61% CAGR. It is remarkable that a trading strategy that takes a gamble every week, not knowing what will come next, can generate such interesting results.

All you had to do was follow the simplest of trading rules, which required less than 5 minutes of your time per week. One of my questions is: Should those results be considered reasonable compensation for your time?

My version of this OPPW TQQQ trading strategy has its ups and downs.

As Figure #2 illustrates, the equity curve goes up. At the bottom of that chart, you have a faint black line standing for QQQ, the used benchmark, as if having also started with \$100,000 and held for the duration. Figure #1 shows that holding QQQ for the duration would have generated an 18.24% CAGR. This would have given: $F(t) = \$100,000 \cdot (1 + 0.1824)^{15.5} = \$1,342,297$.

Figure #2: My OPPW TQQQ Portfolio Equity Curve (Sept. 12, 2025).



([Click here to enlarge](#))

In Figure #2, it is easy to observe the general tendency of the equity curve to rise with time, with what appears at first glance to be exponential; it is. My OPPW strategy has more than a respectable CAGR. The strategy prospered for the last 15.5 years. It is not something that took advantage of market swings or any trade anomalies. It made its bets every week and compounded the results in accord with equation (6).

The trading program made a bet to the upside every week, with no special requests, no opinions, and no discussions, even though you could do better, at times, by overriding the trading rules as if adding a discretionary component to the strategy.

My friend has elected to override the trading rules 13 times over the last 6 months. She adopted what we both call the Ka-Ching principle, which is that if you have a reasonable profit, there's no need to wait for the 7% target. Take the profit and run. All 13 times the Ka-Ching principle was applied, positions were closed at a profit, all increasing the portfolio value.

I mention this so that you feel free to override the trading logic as you wish.

Nonetheless, you should do that while you are already showing a profit, which is part of the Ka-Ching principle. Cashing in profits is not a bad thing. Isn't it the objective of the game, and from the start?

WHERE IS THIS OPTIMIZATION THING AGAIN?

To trade, you somehow get into a position and then, for the same or other reasons, get out with a profit or a loss, whichever happens.

The initial problem you may have is that you do not know in advance what the outcome will be, especially if that trade can only last one week.

It is not what is taught under MPT. The usual stance is to make long-term investments, since over the short term, we face so much randomness that we might have about half of our trades generating losses. You will have to recuperate each of the losses you take if you want your portfolio to make new highs. And that gets to be an increasing burden as you raise the average percent return per trade, as shown in equations (4) and (5).

If you take every trade every week, regardless of market conditions, opinions, or market sentiments, we cannot say that you optimized the trade's entry. Or is it that taking every trade is itself the optimization technique?

Every trading strategy needs to enter trades using the methods the program authors prefer or find suitable. Would that too become a form of optimization? Will it still be considered optimization if the trading strategy fails to generate the anticipated profits within the desired time interval? In those cases, how good were their optimization techniques if they failed to show the estimated long-term profits?

Whatever you do trading, you cannot claim optimization unless you have a trade selection process. If so, the selection process becomes the vehicle for that optimization, such as adapting to past anomalies and outliers, or following technical indicators.

However, the process of selecting a trade also becomes irrelevant since you have no certain knowledge of the outcome. All you have are uncertified expectations, a bet that your trade might be profitable. It becomes a game of expectations, but even with your expectations, the market will do what it does best, ignoring them all.

There is no optimization of the entry, since you cannot predict the outcome. Note that you cannot predict the entry price for the following week or the week after that.

If I play the coin-tossing game as presented in my article of last May 2025, **THE EXPECTED UNEXPECTED**, I know I cannot optimize that coin flip. The outcome

will be whatever it may be with a 50% probability. Can I claim optimization in the coin-tossing game? I doubt it, even if I were to win (with 0.50 odds). So, again, no optimization on entries.

However, if I deal with a biased coin with odds of 52/48 and use another coin, but a fair coin with a 50% probability to make a bet on the outcome of the first coin, I should average a 52% positive result on my bets, not a 50% outcome. It is about what we are doing by taking a bet every week on a price series that has an average historical 52/48 edge to the upside.

For any trade that will be liquidated at the close on the last trading day of the week, is that optimization? Is a time-limited trade now a form of optimization?

You will have about 54% of trades (Type-D and Type-B) that will close on the last trading day of the week. That would be some 441 trades that could not make the profit target or could not rebound to break even. It took the equivalent of 8.5 years of trading to get those 441 trades out of the strategy's current 813.

That is more than half of the trades ending on the last trading day of the week and at the close.

But if the point in time is preset and absolute with no other conditions that would time the exit, then it is not optimization. It is simply a time-based exit.

When would such an exit, that is repeated week after week, somehow become optimized? Shouldn't the exit profit from the underlying long-term market trend tend to rise? That is not optimization; it is merely following the long-term trend, with no fault of your own. You get the same participation prize as anyone else playing the market game.

You need variability in the trading decision process to claim optimization, and you need to prove that the factor(s) used to determine the trades are optimal in some way, or can be optimizable.

For sure, I cannot say that the time limit on a trade (one week) is a form of optimization. Note that Type-B and Type-D trades have to escape the other two exits, one by not reaching the profit target (Type-A), and the other by not rebounding back to break even (Type-C).

Also of note, buying on the first trading day at the open and selling at the close of trading on the last trading day of the week tends to a buy-and-hold stance over the investment period. The only time you are not in the market is during the weekends. And if that is the strategy, it makes no sense to trade, since it has already been demonstrated and documented in the financial literature that missing out on weekends will result in lower long-term profits.

Market prices tend to rise over the long run, even on weekends. You would do better off, get higher returns, simply holding your positions for the duration.

We have taken care of the optimization for Type-B and Type-D trades, both of which close on the last trading day of the week. We have only two other exit types: Type-A and Type-C. Are they optimized creatures?

LET'S GET TO IT WITH TYPE-A TRADES

All Type-A trades occur only if the profit target is hit. There is no other exit for this trade type. It typically happens when the price reaches a new high for the week. The sell limit order is issued way before you have reached the target. If the target is at 7%, you are almost that far away from it, so it is not an immediate order to sell. The sell limit order will execute the first time and only once if and only if it is triggered.

It makes the target price the maximum profit percentage the position can achieve. It also cuts the position's potential profit short, since prices could, and quite often do, continue to rise.

The price can continue to rise after exiting a trade, but you will not benefit from it, nor will the MFEpct rise any higher. Your Type-A trades have only one option: to have their profit percent tend to about the same level as the MFE percent. It is not a choice. It is not a maneuver; it is not an optimization. It is a Type-A trade definition: you get out at the profit target. Period. And indirectly, it becomes the max MFEpct for that trade.

Did I optimize the Type-A trades? On what basis could I even claim such a thing? I can claim this, however: if I lower the profit target to 6%, my OPPW TQQQ strategy will produce less. We would be taking out 1% or 2% out of Type-A trades, and it would show in the overall results.

It would generate more Type-A trades, and these trades would also be near their max MFE percent. However, and predictably, it would lower the strategy's overall profit, as should be expected, even after the increase in the number of Type-A trades. The returns are compounding as per equation (6).

It has the same kind of impact as if I were to increase the profit target to 15%. I would get a higher profit on Type-A trades. Yes. But it would reduce the number of such trades, which in turn would result in lower overall strategy profits.

For example, with a 15% profit target, you would get only 5 such trades out of 813. Not because you set a profit target, but because you requested that the price vary by at least 15% in that week, which historically does not happen often, as should have been expected, in the first place.

My OPPW TQQQ strategy is playing percentages, specifically average percentages, without focusing on or seeking specific profit amounts. The strategy is an exponentially increasing betting system – a mathematical contraption that responds to the TQQQ price behavior statistics.

We know the market is constantly changing, always carving a new path to where it has never gone before, so why should it obey any of my precepts, or my opinions, or whatever I do? It will go its way, with or without me. It does not care at all about what I do. It never asks for my opinion or my know-how. And it never said, 'Would you like some more fries with that?'

In a post in the Wealth-Lab thread on the strategy, I wrote the following:

I did not need an optimizer to figure out the following. My surprise is that we are calling the execution of a profit target some form of optimization!

I made the following calculations.

The top 100 trades out of 813 had an average return of 9.0525%.

We should compare that result to the average maximum favorable excursion percent (MFEpct), that is, the maximum percent gain the position could have ever attained. That number for the top 100 trades had an average return of: 9.3952%.

That is 3.78% away from the average potential top on those 100 trades. So, the question is: How could this guy be so good at figuring out close to the average optimum exit?

Is the outcome optimized based on those numbers? Sorry, but I have to say categorically: NO.

All you have is the expression for the average profit target, which includes all trades that closed above their targets. All these top exits are visible in the MFEpct. And there is nothing extraordinary that a profit target issued as a limit order is only a little less than the MFEpct.

Reaching a positive and attainable profit target should close the trade at the target price or better, especially on a sell limit order at 7% above your entry price!

By definition, the profit target, once hit (only once), is executed, and it also becomes the max for the MFEpct.

Based on arguments given in some preceding comments on the Wealth-Lab thread, setting a profit target should be considered as a full-blown optimization of the trading rules. I doubt it, and more than very much.

It is telling developers they better find in their optimization analysis methods that the profit target exit is close to the optimal MFEpct due to the sell limit order at the preset target. Otherwise, the trading software would have serious problems.

Almost by definition, a sell limit order in the books at a profit target is a preset stopping time. Your sell limit order will be executed the very first time the price hits its target during the week, and it will also be near a high for the MFEpct.

We have enough on Type-A, Type-B, and Type-D trades to determine that they are not optimized values or processes. Therefore, we have left the Type-C trade, which will have to bear the entire burden of optimization.

LET'S GET TO IT WITH TYPE-C TRADE

The Type-C trade is the second most probable of trade types and should be, according to opinions, responsible for some form of optimization; and for all of it, if there is any.

But isn't it attempting to break even, as a stop-loss? Therefore, simply using a predefined stop-loss would now be a form of optimization.⁹ You have almost half of all trades that go negative, since slightly above 50% of trades are profitable. The other trades necessarily have to fall on the negative side of the ledger.

Isn't a Type-C trade the break-even trade intended to sell the rebound after going negative? And is it not designed to produce nothing, to have no impact on the final results? How would I optimize the goal of achieving a no-profit scenario for such trades that generate no monetary value?

That a position declines in its early stage is only normal for a stock that will zig-zag and wiggle its way to the close of the last trading day of the week. The price will fluctuate up and down even more around the entry price. It is a reason why a position is held for at least one day before deciding to sell or keep it for another day.

How could the Type-C trade be an optimization? I do not know! You take a reasonable stance toward portfolio risk. At least that is the implied reasoning in applying a stop-loss. It is to limit the potential loss on a trade. And that would become optimization?

My OPPW TQQQ trading strategy does not use any optimization, at the very least, none that is intended.

All the trading rules are simply barriers I put in front of TQQQ's price gyrations with predetermined stopping times. The price, in its path forward, hits one of the four barriers once and is sold; there is no alternative.

You do not know which of the four exits will prevail on any of those trades. And since you cannot predict that much better than 52/48 odds, you can only define taking a

⁹ This is related to this trading strategy. I make no claims on others.

trade as a bet with a slight and long-term upside edge.

The only possible optimization is in the selection of TQQQ, which has sufficient variance to execute those trades.

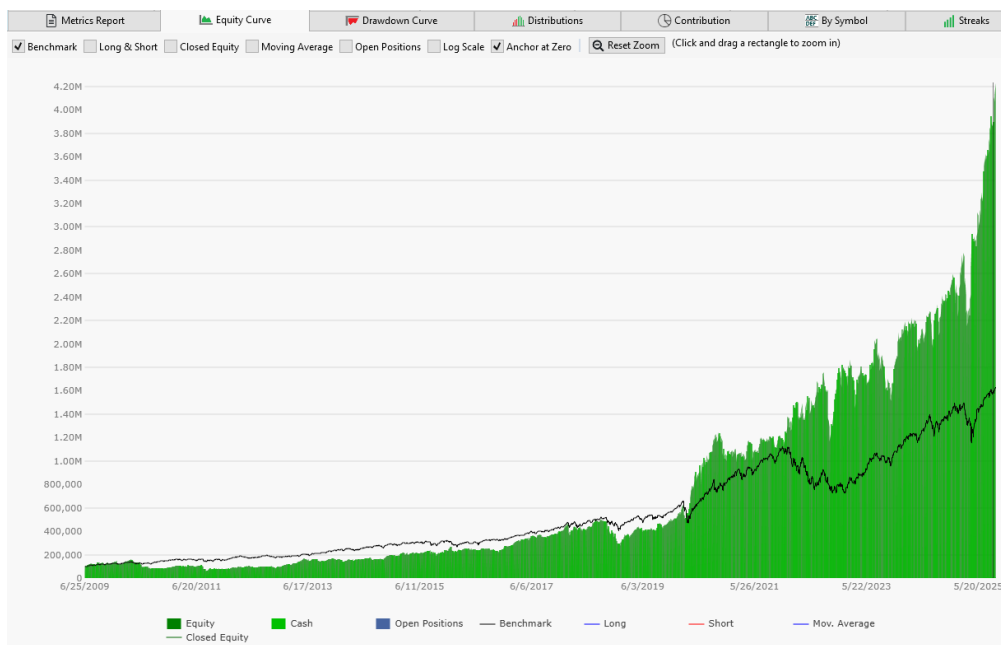
Reducing the variance will reduce the outcome. A simple example to show this would be to replace TQQQ with UPRO, another 3x-leveraged ETF. You do not even need to do the simulation to figure that one out.

Get a Yahoo!Finance comparison chart of TQQQ with UPRO as in Figure #4 below. You will see immediately that TQQQ outperforms UPRO. It is not that one was luckier, or "better optimized" than the other. The difference is structural in nature and based on how these two ETFs were initially constructed, nothing more.

Figure #3 gives the equity chart for UPRO using my OPPW TQQQ program. Both ETFs were treated under the same trading and market conditions with no changes to the program code.

Compare Figure #3 to Figure #2; the difference is notable. My TQQQ OPPW strategy is made for and adapted to QQQ's amplified variance. UPRO does not fluctuate as much, and it does not provide enough of those profit target trades. It is simply not volatile enough. Even with adaptation to its trading characteristics, it would still underperform TQQQ (refer to Figure #4 again).

Figure #3: UPRO Portfolio Equity Curve (Sept. 12, 2025).



[\(Click here to enlarge\)](#)

Should you forecast that in the next 10 to 20 years, UPRO will experience more

[\(Click here to enlarge\)](#)

Figure #3 could be better understood with Figure #4 above.

However, I should not be surprised to see that TQQQ mimics QQQ's every move and amplifies those price percent changes by a factor of 3. It is part of TQQQ's definition and purpose.

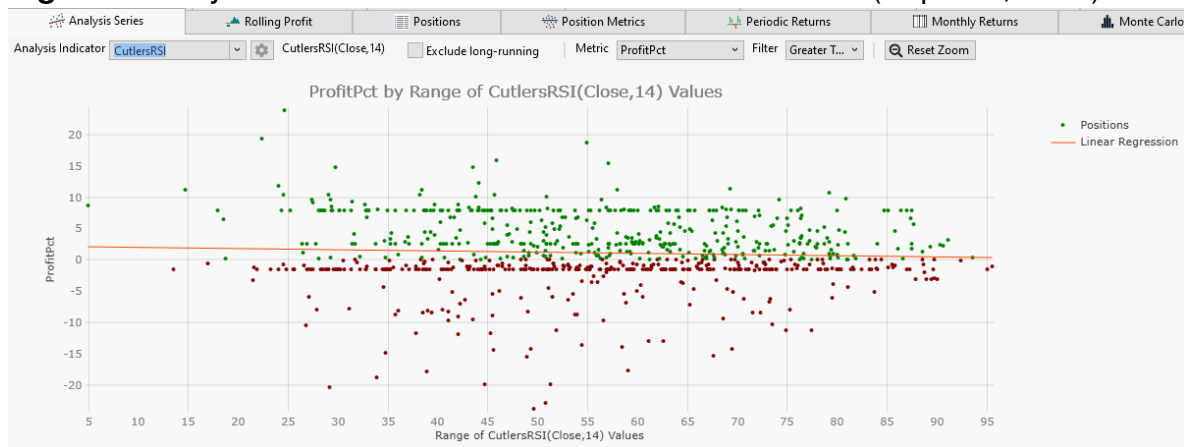
If you want to design universal tools, be ready to average things down, and in doing so, average your long-term returns towards the long-term market averages. But that should not be what you want.

You should seek to accelerate the growth rate of your portfolio, since you are on a time-limited schedule yourself. You need to achieve your goals before you retire. That is the whole point of increasing the average growth rate.

To gain a better understanding, I included Figure #5 below, which gives the distribution of percent profits and losses versus an RSI indicator.¹⁰ In Figure #5, we have each of the winning trades (green dots) and losing trades (red dots) distributed according to their percent return and the RSI indicator value.

We have 813 dots scattered all over the place, many of which are superimposed. There appears to be no RSI value that favors one side or the other, regardless of the value displayed by the RSI.

Figure #5: My OPPW TQQQ Portfolio Profit Percent vs RSI (Sept. 12, 2025).



([Click here to enlarge](#))

The red regression line across the chart already indicates that the average return per trade is close to the average, which ends near the 0% line, suggesting that there was no significant advantage to be gained from the RSI indicator. There is no clustering, and no RSI value that provides a defined advantage. And if there was one, it does not appear sufficient even to try optimizing for it.

¹⁰ My OPPW TQQQ trading program does not use indicators. None at all.

In Figure #5, there are two series of dots that stand out: the series of green dots at the 8.1% level, and the series of red dots near the zero % line. The first shows the Type-A trades that have reached their profit targets or better, and the second shows the Type-C trades that have closed below the zero line near the -1.5% mark, a result of one of the strategy's stop-loss procedures. Even that appears optional in many cases, since we do have many red dots below the -1.5% mark.

Type-B trades are all the positive green dots above the zero line but below the 7% initial target. As for the green dots above the 8.1% profit line, those are trades that gapped up above the profit target at the open of trading that day. The red dots below the -1.5% stop loss are trades that never bounced back to break even for whatever reason, gapped down, or finished the week as Type-D trades.

You have the whole trade history of my OPPW TQQQ strategy in Figure #5. What is not visible is when each dot would have fallen, trade after trade, for these 813 trades.

There is still nothing predictable except for the profit targets and the -1.5% stop-losses. We can also see that occasionally, the 2.5% request for the rebound after a Type-C trade is sometimes honored. Whatever the rebound may be, it is cut short with this 2.5% limit order in place.

One thing I found, which was more of a vindication, was that no value of the RSI indicator could help me increase performance, which was what I had anticipated in the first place. However, it was a nice way to display the trade distribution by profit percent. I could achieve a similar distribution using other indicators, but I already had one answer.

Figure #5 can reveal a lot. It easily identifies which trade type each dot belongs to. The RSI extremes are not that populated; most of the dots appear between 35 and 75. The center of gravity is between 55 and 65, usually a non-trading zone for an RSI.

Without the identification of Type-A and Type-C trades, all the dots would be scattered as if randomly distributed with no distinctive markings. Regardless, all the trades made by the program will belong to a specific trade type.

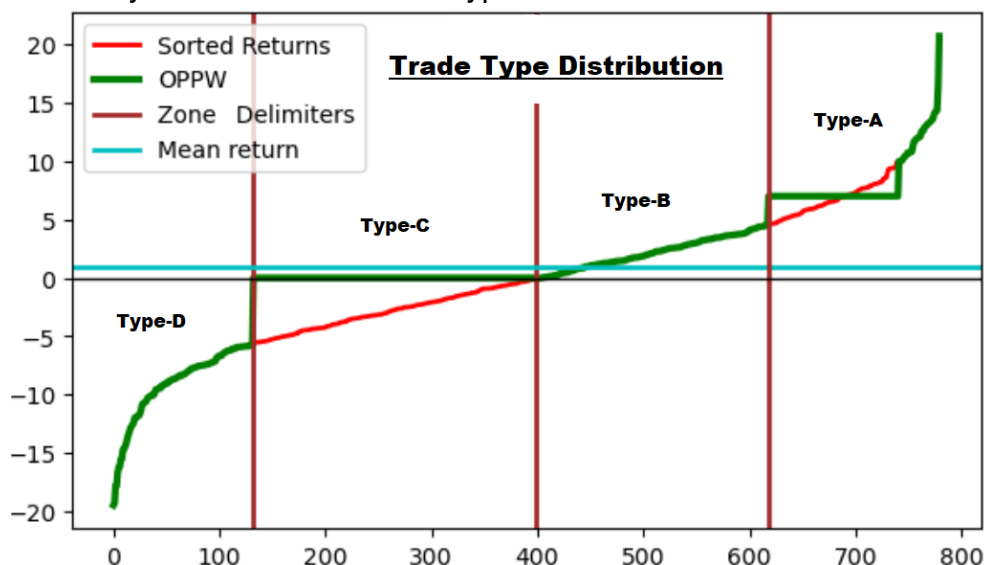
Another visualization of the same data appeared in my August 2025 paper, **THE ANTICIPATED FUTURE**, and before that in this other paper, **MY EQUATION** from last March 2025. That chart is replicated below in Figure #6.

The big difference is that the returns are now sorted from lowest to highest, and the dark red vertical bars delineate the trade types.

The green line is the outcome of my version of the OPPW TQQQ trading strategy.

The two sections that are flat in Type-A and in Type-C were the barriers put across TQQQ's path. The break-even Type-C trade had an outcome of zero last March 2025.

Figure #6: My OPPW TQQQ Trade Type Distribution.



([Click here to enlarge](#))

Type-A trades reach, at a minimum, their profit targets. Some of the Type-A trades have gone above the profit target to generate even higher returns. The origin of those trades occurs on days when the price gapped up above the profit target at the open, forcing the limit order execution at the prevailing price. You do not know when they happen, but they do happen.

Type-D and Type-B trades can only occur at the close of trading on the last trading day of the week. They do not present any change from the underlying quasi-normal distribution in red. For these two sections, the green line overlays the red line, indicating that no trading intervention was applied.

There are only Type-A and Type-C trades that give some different answers than the red line, which otherwise would be the cumulative distribution function of the returns in red without my OPPW trade data.

Looking at Type-A trades in Figure #6, we can easily explain why the profit target did not close at the maximum MFEpct every time. The trades that gapped above the profit targets, or above the red line, need to be accounted for, as those that closed below the red line. The section of Type-A trade that overwrites the red line all had the MFEpct for their max value.

There is much that my OPPW TQQQ trading strategy tries to convey. One is that the outcome of the trading rules prevailed for the duration (15.5 years). The strategy

has not broken down since its redesign in May 2024, which can be viewed as its walk-forward phase (71 weeks).

Trades were easily identifiable, even if they occurred almost at random. You did not know which trade type would come next. However, you knew it would be one of the four trade types, which would result in a profit or a loss.

We can make another representation of equation (6) as follows:

$$F(t) = f_0 \cdot \prod_1^N (1 \pm r_i) = f_0 \cdot (1 + \bar{r})^N \quad (8)$$

which says the same thing. We can express the product function using its equivalent, which uses the overall average return per trade. It is the same formula as for finding the future value of an investment, but now looking to compound on the average return per trade for the number of trades made.

We can have the $\pm r_i$ from $1, \dots, N$ as we add trades over the trading interval, but we can also get $\bar{r}$ as we progress along. So, we could have the value of $\bar{r}|_1^{200}$ after 200 trades, just as we have equation (8) that will give an answer for every intermediary value from 1 to N . We will use this property later.

The average profit per trade is also available in Figure #6 as the cyan horizontal line near the 1% mark that crosses the chart. In the portfolio metrics (Figure #1), you can find the average profit per trade in the "Positions" section on the right of the chart. In Figure #5, the red regression line that crosses the RSI chart gives the average profit per trade. All saying the same thing, but in different ways.

However, we could make equation (8) represent all the trade types in Figure #6:

$$F(t) = f_0 \cdot (1 + \bar{r})^N = f_0 \cdot (1 + \bar{r}_A)^{n_A} \cdot (1 + \bar{r}_B)^{n_B} \cdot (1 + \bar{r}_C)^{n_C} \cdot (1 + \bar{r}_D)^{n_D} \quad (9)$$

which has been expressed many times in my articles and papers. We have the average returns with their exponents (number of trades) for each trade type.

We still face a compounding function, and just as in the product function, every trade counts and will have an impact on the outcome.

If your next trade suffers a -10% drop, the impact will be immediate:

$$F(t) = f_0 \cdot (1 + \bar{r})^{N+1} = f_0 \cdot (1 + \bar{r}_A)^{n_A} \cdot (1 + \bar{r}_B)^{n_B} \cdot (1 + \bar{r}_C)^{n_C} \cdot (1 + \bar{r}_D)^{n_D} \cdot (1 - 0.10) \quad (10)$$

giving you what will be a new Type-D trade. It is where it counts.

If you have a -10% decline anywhere in the series of returns, it will reduce your portfolio by that -10%. Equations (6), (8), (9), and (10) remain compounding functions, and as said, every trade will count.

For example, what we gain from equation (9) is: you can have your portfolio return described accurately using its trade behavior and portfolio metrics. You can determine the advantages and disadvantages of each trade type as you structure your trading rules. The most important thing is that it does not apply only to my OPPW TQQQ strategy.

In my analysis, I will also make another adjustment to equation (9) and its siblings, as they need to account for the degree of market participation. I used the average exposure rate to account for the days the strategy is on the sidelines. So, equation (9), and the others related to it, should be re-expressed as:

$$F(t) = \overline{exp} \cdot f_0 \cdot (1 + \bar{r})^N = \overline{exp} \cdot f_0 \cdot (1 + \bar{r}_A)^{n_A} \cdot (1 + \bar{r}_B)^{n_B} \cdot (1 + \bar{r}_C)^{n_C} \cdot (1 + \bar{r}_D)^{n_D} \quad (11)$$

to account for the average exposure factor $\overline{exp}$, which is found in the summary section of Figure #1.

Equation (11) is what was used in recent articles to describe the inner working of my OPPW TQQQ trading strategy: making it almost a bean-counting procedure.

Nonetheless, equation (11) has more to reveal. Just as we segmented the trading rules by trade types, we could easily add new trade types to the mix. Design new trading strategies based on new trading rules, with something similar to equation (11) would still prevail. You would use your strategy numbers, with their distributions of average returns. The general structure of the equation would still hold.

Equation (11) opens the door to a huge set of variations on the same theme, where you can add or subtract whatever trading rules you wish. Let your trading strategy tell its story, study its general behavior. Each stock or ETF has its unique signature and future path. What you will need is a price history that is long enough to generate a large number of trades. If your strategy makes only 50 trades distributed in 7 trade types, it might not be enough to be statistically significant.

Your objective is not to be right; it is foremost to make money out of this stock trading endeavor.

Use the knowledge you acquired to build your retirement fund, to gain your financial freedom, and not depend on anyone for your financial survival. Take charge; it is all about your future.

And if this strategy, for whatever reason, is not compelling enough, design a new one, be bold. You do not have to subscribe to the MPT and be limited by that "optimal portfolio" residing on some efficient frontier. You can simply jump over it.¹¹

¹¹ My book on Amazon could be of interest: [Beyond The Efficient Frontier](#), but you do not need it to understand this paper.

MY OPPW TQQQ STRATEGY'S EVOLUTION

Some of the characteristics of my OPPW TQQQ strategy are hidden from view, as the simulation presents only the final results. I can retrieve the equity chart, as shown in Figure #2, or the portfolio metrics, as in Figure #1. However, I lack an understanding of what happened in between, even though the equity curve already tells the story.

I made the exercise of starting from the beginning and increasing the time interval one year at a time to see how the strategy evolved for the numbers I was interested in. They are all numbers mentioned numerous times in my articles, and with Table #2 below, I can continue to analyze the strategy's properties as it evolved over the years.

Table #2 simulates a person having started in February 2010. Followed my OPPW TQQQ trading strategy, and looked at the status of his or her portfolio result every year thereafter.

Table #2: My OPPW TQQQ Trading Strategy. Year By Year.

# Weeks	Start ¹	End	Total Profit (\$)	CAGR %	# Win	% Win Win	# Lose	% Loss Lose	Avg. % Trade
52	2010	2011	20,955	21.03%	30	4.89%	22	-5.19%	0.62%
104	2010	2012	70,836	30.78%	56	5.29%	48	-4.51%	0.76%
156	2010	2013	199,376	44.26%	85	4.87%	71	-3.85%	0.90%
209	2010	2014	278,208	39.49%	110	4.57%	99	-3.39%	0.80%
261	2010	2015	756,010	53.68%	139	4.46%	122	-3.00%	0.97%
313	2010	2016	797,192	44.19%	162	4.54%	151	-3.09%	0.86%
365	2010	2017	1,284,021	45.58%	188	4.34%	177	-2.83%	0.86%
417	2010	2018	2,315,269	48.93%	217	4.21%	200	-2.70%	0.90%
459	2010	2019	2,931,514	46.15%	242	4.23%	227	-2.75%	0.86%
522	2010	2020	6,863,227	52.88%	274	4.19%	248	-2.65%	0.94%
574	2010	2021	36,730,825	71.13%	308	4.52%	266	-2.71%	1.17%
626	2010	2022	55,388,797	69.33%	335	4.58%	291	-2.79%	1.15%
678	2010	2023	115,195,934	72.10%	362	4.70%	316	-2.84%	1.19%
730	2010	2024	198,577,165	72.07%	387	4.72%	343	-2.80%	1.19%
783	2010	2025	211,100,742	66.60%	417	4.67%	366	-2.92%	1.13%
813	2010	2025 ²	343,194,930	68.61%	434	4.72%	379	-2.93%	1.15%

¹ The time interval adds one year at a time from 2/10/2010 to the end of the simulation.

² For 2025, we have from 2/10/25 to 9/12/2025, stopping at trade or week #813.

My key numbers of interest include the ongoing CAGR, the increase in the number of trades for both winning and losing positions, the average percentage win per winning trade, and the average percentage loss per losing trade. I wanted to see the evolution of the average percentage return per trade over the period. I also wanted to see the

evolution of the total profit year-over-year, even if it was the same as the equity chart (Figure #2).

Figure #2 shows the equity curve corresponding to the last line in Table #2 with its 813 trades. Confirming I did the simulations for each year as presented in the table.

Table #2 gives the progression of some of the crucial numbers describing the average behavior of the trading procedures used. For example, the average percent win per winning trade ends with 4.72%. We can observe that this number settled down early in the series.

Already, in the third year, we had a 4.87% average return per winning trade. Evidently, this number will fluctuate with the arrival of every new trade. We should expect it to fluctuate near its long-term average as it tends more and more towards that long-term average value. It is the same consideration we can have for the average percent loss per losing trade, which, over time, settles at about -2.80%.

The percent win per winning trade stabilizes after 4 to 5 years. It does not prevent this number from fluctuating up and down. Still, it remains relatively stable compared to what might have been expected: a value that decreases over time due to the Law of Diminishing Returns.

Also worthy of note, over the years, the CAGR tended to rise in tandem with the average percent return per trade.¹² This is not a surprising property. It is one of the interesting features of this trading strategy.

It goes in the same direction as all the simulations performed using randomly generated trades done in **THE EXPECTED UNEXPECTED** of last May 2025, where Figure #1 resumes 200,000 randomly generated simulations based on the strategy's trade type distribution. In that chart, each year was the result of 10,000 simulations. We have in Table #2 one of those scenarios, one of the possible paths. The path taken in Table #2 is about the same as many other paths that would have followed similar trading procedures.

Table #2 comes from the portfolio metrics for each period as I added year after year to the time interval.

What I consider most remarkable is the increase in the average CAGR and the average return per trade, which have risen over the years, despite fluctuations. We can see the upward drift in these measures, just as we can see the total profit also increasing over the years.

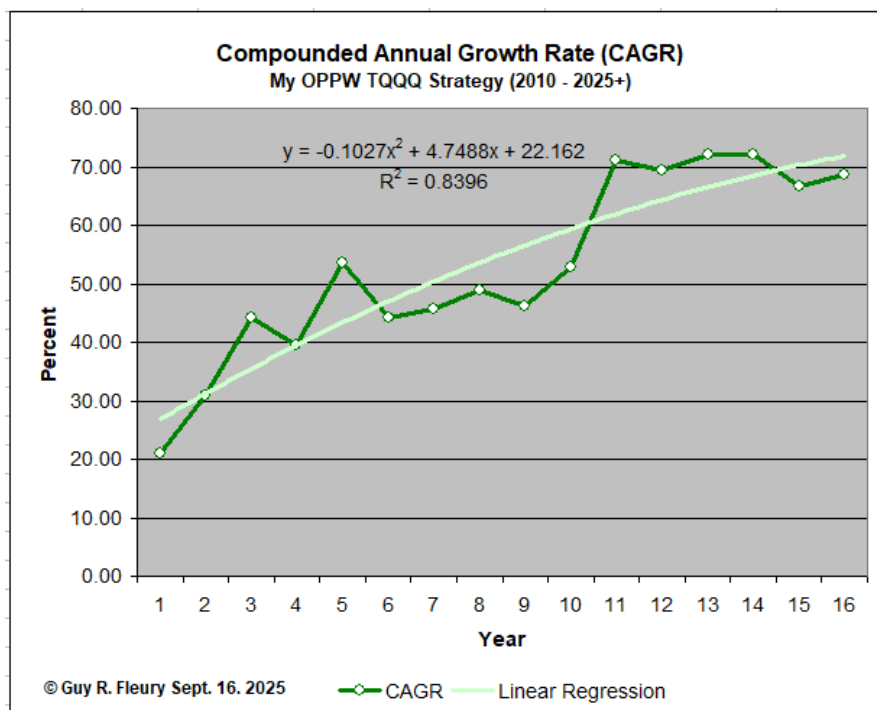
We have in Table #2 a rising CAGR over the trading interval. It is illustrated in

¹² I often mentioned that in my recent articles.

Figure #7. You typically do not achieve a rising CAGR with an ETF trading strategy, especially if the intention is to represent the average of 100 of the highest-valued stocks on NASDAQ, even if you use leverage.

As can be observed, the rise in CAGR is bumpy. But most might accept this choppy ride if that is how their retirement fund would behave over the years. Now, that is an interesting question: How will it do in the future? That is what everyone should be interested in.

Figure #7: My OPPW TQQQ Strategy – CAGR (2010 - 2025+).



([Click here to enlarge](#))

If you care to look around for similar results, you will not likely find a rising CAGR on a trading strategy like this anywhere. However, even if I have not seen any yet, it does not mean there are none.

This is phenomenal. We are playing a 3x-leveraged scenario, where, due to the degradation of long-term returns as presented in equations (2) and (4), the return is expected to decrease over time, as if it were a built-in feature. And yet, we can not only compensate for the long-term return degradation, but also go as far as to overcome it and generate a rising CAGR.

The regression line in Figure #7 is slowing down, but still manages to rise to the 70% CAGR level. That is more than remarkable.

You have a trading strategy that gambles its way to that CAGR level, trade after trade.

It is as if its quest for higher returns is also built in, notwithstanding all the price and return gyrations.

Someone opting to use my strategy would start, from week one, with his or her \$100,000 initial stake. They could achieve a lower CAGR in year one, and as the years pass, the average CAGR would steadily increase. We can still see two plateaus: one between years 5 and 10, and the other starting at year 11, around the 70% CAGR level. But that is for the past data. The future would reveal something else.

Regardless, you are looking for the outcome. As long as that curve could hold going forward, I suspect that anyone building their retirement would accept such an elevated CAGR.

One point I would like to make clear. My OPPW TQQQ strategy's trading procedures are not optimized, nor overfitted. However, the strategy is nonetheless adapted to QQQ's weekly volatility and behavior, amplified three times by the leveraging provided by TQQQ.

You do not know in advance the range of weekly price variations, nor do you know in which direction they will go. But you know TQQQ will fluctuate, all the time, and wildly.

This trading strategy offers only four trade-exit options. Whatever position taken, even if you do not know the outcome beforehand, we know that by the close on the last trading day of the week, the result will have been one of the four trade types.

The strategy is essentially a form of outright gambling, recognizing that it has an edge due to the Type-C trades. It allows you, at times, to take your bet off the table on price weakness, and this, in turn, does not destroy your Type-B returns.

Another interesting point from Table #2 is the distribution over time of the winning and losing percent per trade. Figure #8 illustrates the winning and losing percent per trade as given in Table #2.

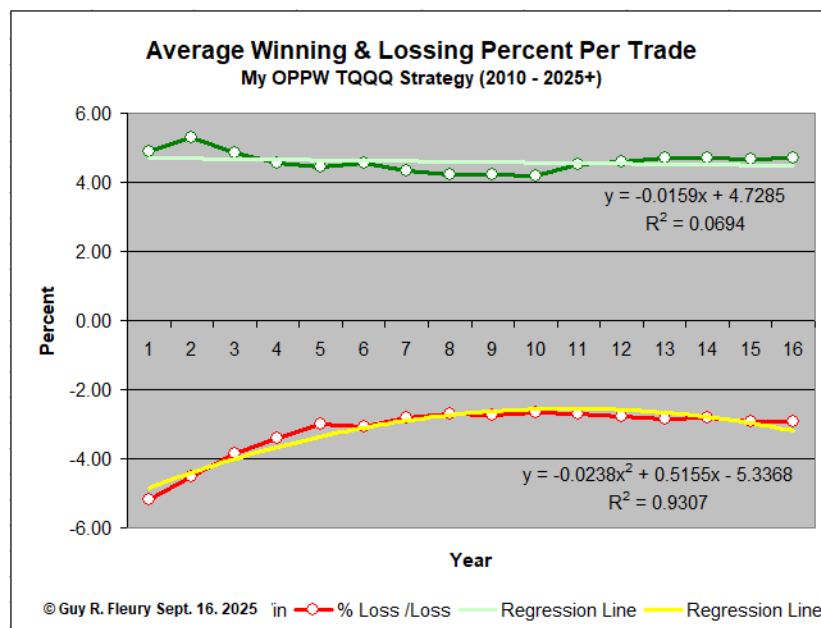
Figure #8 offers some fascinating insight into the trading strategy's mechanics. The average percent win per winning trade, as well as the average percent loss per losing trade, is relatively stable over the entire 15.5 years. They do fluctuate over time, as expected, but remain relatively stable. It is as if their probability of occurrence approaches a constant after a few years.

We can easily extrapolate these results. Extending their respective regression lines would be a reasonable projection.

Figure #8 is more significant than it appears. With $R^2 = 0.0694$, this chart says

that the light green regression line is almost horizontal. Technically, no apparent upward or downward trend. You have a percent return that can vary from $\pm|20\%|$, and yet, it remains stable at the 4.72% level over those years. Something that can swing up and down by 20%, and no cycles. That is not how we usually see market activities. Extending the regression line could be done using a ruler. That is not how we typically make future market projections. Nevertheless, it would hold here.

Figure #8: Average Percent Win and Loss Per Trade (2010 - 2025+).



([Click here to enlarge](#))

Designing a similar scenario might help better understand this phenomenon. We roll a dice 600 times. We know the outcome. We will have about 100 occurrences of each of the six faces. We would not know which face would come out next, but we know the probability for each of the six faces. But if I ask to chart the average of the sum of the dots on those dice rolls, I will get an average of 3.5. The regression line on the chart for this average will be stable, just as in Figure #8. In rolling the dice, we know we are facing pure randomness, and nothing more.

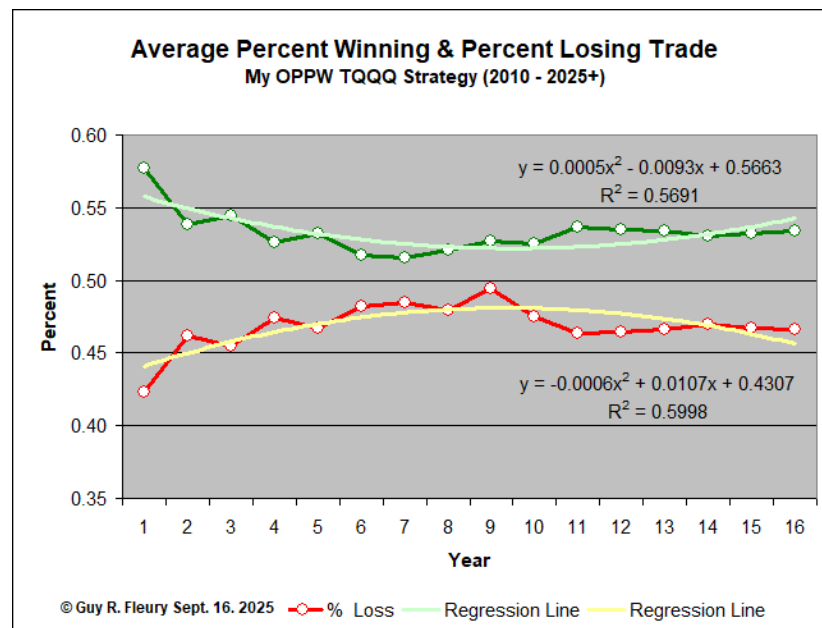
Shouldn't I make a parallel between those two charts and express that Figure #8 might have a solid foundation in randomness? No matter the market swings over the past 15.5 years, Figure #8 aggregated all the data and averaged it out to a straight line, just as the 3.5 average for the 600 dice rolls. It makes the future projections that much easier, but also that much more probable.

Adding 300 more dice rolls to the above dice simulation, I would still get the ongoing 3.5 average. The data would fluctuate around the 3.5 average, but not by much. We would have added about 50 more occurrences to the existing number for each of the six faces of the dice. Expecting a total of 150 for each face of the dice. We could

claim something similar in extending the light green line in Figure #8.

We need another view of the data to make those projections. The strategy executed 813 trades, one per week, over 15.5 years, with a win rate of approximately 52%. Figure #9 illustrates the average percent win of winning trades compared to the average percent loss of losing trades over the years. Again, the data comes from Table #2.

Figure #9: Average Percentage Of Winning And Losing Trades (2010 - 2025+).



([Click here to enlarge](#))

Figures #8 and #9 show that the average percent win per winning trade remains relatively stable over the years, even if all of them are trades that appear one by one without knowing how those trades will end up, either with a profit or a loss.

The winning percent of trades remained above the 50% mark for the duration, even though we know that the percentage had its ups and downs. Especially since it all evolved as if following a random walk.

We could easily extend the outcome of Figure #8 into the future; the same goes for Figure #9.

PROJECTING INTO THE FUTURE

To project in the future, we already have the means for doing so in equation (7), which I repeat here:

$$F(t) = 0.5252 \cdot \$100,000 \cdot (1 + 0.0472)^{434} \cdot (1 - 0.0292)^{379} = \$343,058,052 \quad (12)$$

which gives the outcome for trade #813. We have stable numbers for the average win percent per winning trade and the average loss percent per losing trade.

*What we need is the number of trades that could be executed in the future.
We have 52 trades per year, year after year.*

I have often stressed in my articles that the most important years for this trading strategy are between 15 and 20. It is as if the real prize is at the end of the rainbow. Well, it is. All the efforts you have made over the years can culminate in a triumphant victory over randomness and all that stands in your way.

We could use equation (12) and add more trades and obtain a relatively good ballpark estimate of the outcome. From the 52 trades per year, we can keep about the same distribution as in Figure #9.

$$2025 : F(t) = 0.5252 \cdot \$100,000 \cdot (1 + 0.0472)^{434} \cdot (1 - 0.0292)^{379} = \$343,058,052$$

To end the year, we could add 12 winning trades and 10 losing trades to finish the one-year interval.

$$2026 : F(t) = 0.5252 \cdot \$100,000 \cdot (1 + 0.0472)^{434+12} \cdot (1 - 0.0292)^{379+10} = \$443,629,989$$

For the remaining years up to year 20, we can expect 27 winning trades and 25 losing trades per year, based on the win rate distribution. Those four years would give something like what follows:

$$2027 : F(t) = 0.5252 \cdot \$100,000 \cdot (1 + 0.0472)^{446+27} \cdot (1 - 0.0292)^{389+25} = \$734,624,138$$

$$2028 : F(t) = 0.5252 \cdot \$100,000 \cdot (1 + 0.0472)^{473+27} \cdot (1 - 0.0292)^{414+25} = \$1,216,492,656$$

$$2029 : F(t) = 0.5252 \cdot \$100,000 \cdot (1 + 0.0472)^{500+27} \cdot (1 - 0.0292)^{439+25} = \$2,014,437,458$$

$$2030 : F(t) = 0.5252 \cdot \$100,000 \cdot (1 + 0.0472)^{527+27} \cdot (1 - 0.0292)^{464+25} = \$3,335,785,263$$

Using the portfolio equation, it was easy to make the projections for the future of my OPPW TQQQ strategy. All it required was adding those 52 trades per year.

By maintaining the given 52/48 distribution of winning and losing trades, we can project the future value for the additional years.

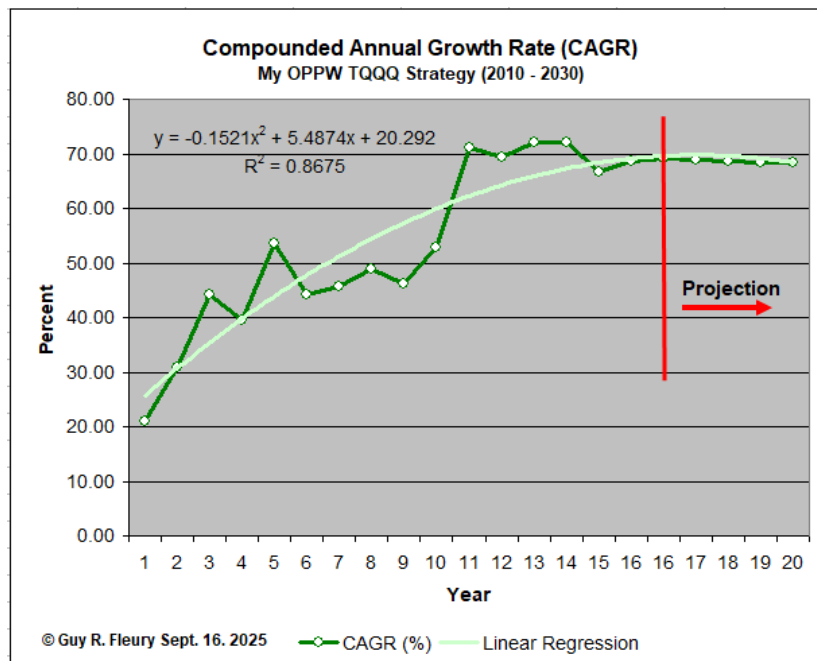
To show that it is a reasonable approach, I made charts illustrating this extension for Figures #7, #8, and #9.

I will begin with the future projection of Figure #7 above.

Figure #10 illustrates this projection, a simple extension at about the same level as it had reached over the previous 15.5 years. It does not appear as unreasonable, but just as a natural outcome compared to Figure #7.

The same goes for Figure #8 with its projections; it also appears as a simple extension.

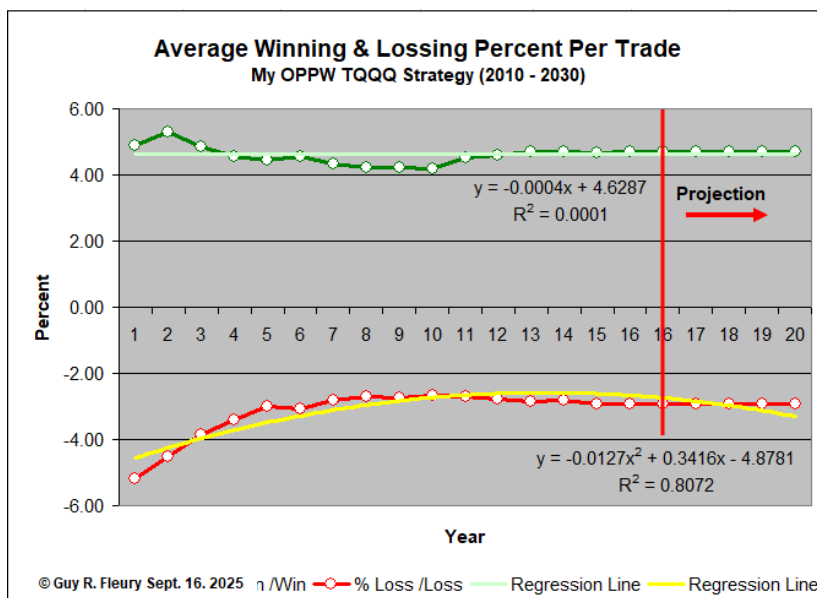
Figure #10: My OPPW TQQQ Strategy – CAGR (2010 - 2030).



([Click here to enlarge](#))

Again, the projection for the added 4.5 years appears as natural. Not something fabricated, but something you could almost predict just looking at Figure #8.

Figure #11: Average Percent Win Per Winning and Losing Trades (2010 - 2030).



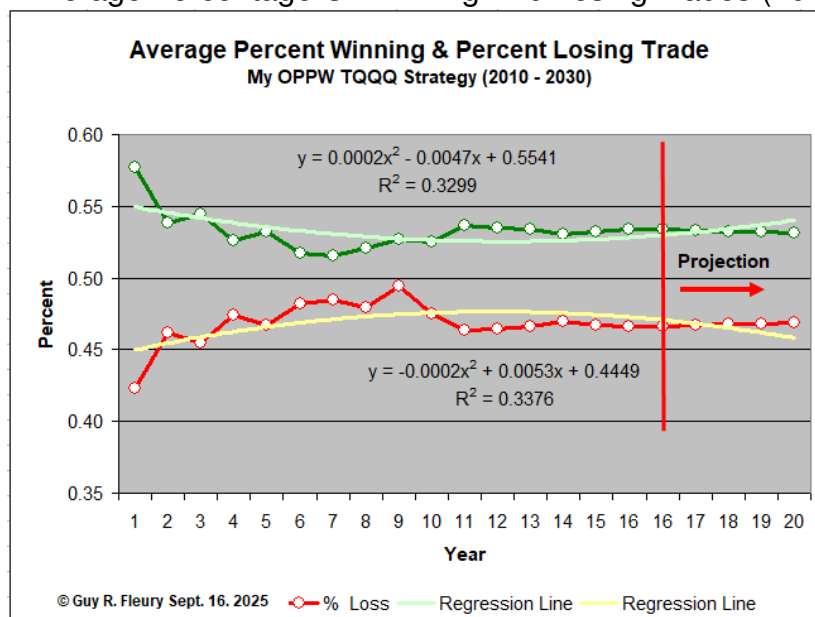
([Click here to enlarge](#))

You look at Figure #11 and are not surprised that the average winning percent per trade remained stable, even after adding 230 trades, which came in, one after the other, in a quasi-random fashion.

The same went for Figure #9 and its extension as shown in Figure #12.

The projection forward appears as a natural extension to Figure #9 — nothing surprising in those numbers, only a reasonable outcome to the portfolio's equation.

Figure #12: Average Percentage Of Winning And Losing Trades (2010 - 2030).



([Click here to enlarge](#))

Using the portfolio equations (10) and (11), we have what is needed to add new trades to the strategy's equation as well as account for the exposure. Even with those more complicated equations, we are still dealing with a much simpler problem, as given by equation (6).

Nothing is surprising in the above three charts (Figures #10, #11, and #12). It even puts more emphasis on the importance of those added 4.5 years. It is like stating, again, that the real prize will be in the years following the first 15. The strategy is an exponential function, and like all exponential functions, this one also grows exponentially as if it were a self-evident assumption.

Table #3 below is an extension to Table #2 for years 16, 17, 18, 19, and 20. I wanted to show the outcome from years 16 to 20 with more detail. The outcome increased 10-fold. You would receive about 10 times more in the last 4.5 years than in the first 15.5 years. It is why I often say: the real reward is at the end of the rainbow.

It is a perseverance game, where you build your retirement portfolio over many years.

Notice that after year 10, you should be considered well-off, with enough to afford to pay for the beer. It is by persisting with the same attitude towards the market and how you see your intervention in all this that will matter.

LOOKING AT THE FUTURE

Evidently, and again, you will have to start from week one.

You cannot have any of the above for the simple reason that there is no money in a simulation. It can only help you by showing how your trading procedures would have behaved in the past. And for my OPPW TQQQ trading strategy, its past has been relatively consistent, as can be seen in Figures #7, #8, and #9.

Table #3: My OPPW TQQQ Trading Strategy Projection. (2010 - 2030).

Year	Week #	Date		Profit (\$)	CAGR (%)	#	% Win	#	% Loss	Avg. %	%	%
		Start	End			Wins	/Win	Losses	/Loss	/Trade	Win	Loss
1	52	2010	2011	20,955	21.03	30	4.89	22	-5.19	0.62	0.58	0.42
2	104	2010	2012	70,836	30.78	56	5.29	48	-4.51	0.76	0.54	0.46
3	156	2010	2013	199,376	44.26	85	4.87	71	-3.85	0.90	0.54	0.46
4	209	2010	2014	278,208	39.49	110	4.57	99	-3.39	0.80	0.53	0.47
5	261	2010	2015	756,010	53.68	139	4.46	122	-3.00	0.97	0.53	0.47
6	313	2010	2016	797,192	44.19	162	4.54	151	-3.09	0.86	0.52	0.48
7	365	2010	2017	1,284,021	45.58	188	4.34	177	-2.83	0.86	0.52	0.48
8	417	2010	2018	2,315,269	48.93	217	4.21	200	-2.70	0.90	0.52	0.48
9	459	2010	2019	2,931,514	46.15	242	4.23	227	-2.75	0.86	0.53	0.49
10	522	2010	2020	6,863,227	52.88	274	4.19	248	-2.65	0.94	0.52	0.48
11	574	2010	2021	36,730,825	71.13	308	4.52	266	-2.71	1.17	0.54	0.46
12	626	2010	2022	55,388,797	69.33	335	4.58	291	-2.79	1.15	0.54	0.46
13	678	2010	2023	115,195,934	72.10	362	4.70	316	-2.84	1.19	0.53	0.47
14	730	2010	2024	198,577,165	72.07	387	4.72	343	-2.80	1.19	0.53	0.47
15	783	2010	2025	211,100,742	66.60	417	4.67	366	-2.92	1.13	0.53	0.47
16	813	2010	2026	343,194,930	68.61	434	4.72	379	-2.93	1.15	0.53	0.47
16	835	2010	2026	443,629,990	69.02	446	4.72	389	-2.92	1.15	0.53	0.47
17	887	2010	2027	734,624,138	68.82	473	4.72	414	-2.92	1.15	0.53	0.47
18	939	2010	2028	1,216,492,656	68.64	500	4.72	439	-2.92	1.15	0.53	0.47
19	991	2010	2029	2,014,437,459	68.47	527	4.72	464	-2.92	1.15	0.53	0.47
20	1043	2010	2030	3,335,785,263	68.33	554	4.72	489	-2.92	1.15	0.53	0.47

([Click here to enlarge](#))

By extrapolating from Table #2 using the outcome of the portfolio metrics, as also illustrated in Figures #7, #8, and #9, we get the projections for years 2025 to 2030, completing the sequence to year 20; adding some 4.5 years to the outcome of the strategy, which would have followed the strategy's internal game statistics.

You are not making projections based on market data, but on your betting system using what you have as more reliable: the long-term probability distribution of your trade types.

*You are facing a game where randomness plays a significant role.
And it is a randomness you cannot escape.*

The randomness applies up to year 15 and remains the same for the 5 years that follow. It is why I am not surprised by the results of the above equations; they are just the continuation of the first 15 years.

It is becoming increasingly amazing. There are "reasonable" reasons why this trading strategy could get there by doing what it has done in the previous 15.5 years. We already have equation (7) that explains the results of week #813.

But we also have other similar equations that use the same structure but with their own trade distribution. Since May 2024, all we have is an increase in the number of trades. Gradually, as we increased the number of trades, we saw the strategy's outcome fluctuate and grow over the weeks.

You still have to do the work, either to disprove all or some of it, or try to understand how this trading strategy could be to your benefit.

As mentioned before, many variations could be designed on the same theme, where you can qualify your trades in a manner you see fit. Your version of equation (7) for your portfolio could be the vindication of your trading methods.

What I see is ignoring what we have learned in the study of MFT and its emphasis on the portfolio efficient frontier. All that is done here is gamble towards a future that jumps over all of that acquired knowledge. It all depends on this forward exponential betting system, which has only a slight edge.

The reason this works is also simple; it is due to the Type-C trade, which allows you to claw back your bet after making it if you see a potential weakness in price. This was also demonstrated in the coin-tossing game referenced earlier.

The visualization of the extension to year 20 could help better appreciate the series of projection equations given above.

Here, you have a trading strategy that cannot predict the outcome of its next trade, making bets on a future it is not aware of. It maintains some of its properties almost constant, such as the average percent win per winning trade (see Figure #8), even though it is dealing with a random-like process that has only a slight edge.

Even without knowing its future, it behaves remarkably well. Not only can it not predict its future trade, but it also appears as if it were randomly generated. Its slight edge and the Type-C trades are making it a winner.

To the point that its trading history can be used to predict (in a way) its future, even though you have no guarantee of that outcome. However, it will nonetheless provide you with a reasonable ballpark figure of what to expect, not by guessing what is to come, but by using its average trading habits and requesting more of the same in its future.

It is remarkable that a small group of simple trading rules can significantly enhance the power of this trading strategy, enabling it to surpass traditional trading methods

by effectively ignoring them. My OPPW TQQQ strategy plays the game and wins. It gambles and wins. And it wins because it ignores everything else.

WHAT DO WE HAVE HERE?

1— Foremost, we are dealing with a 3x-leveraged scenario based on QQQ's daily return. QQQ can vary, on average, by $\pm 5\%$ per week. We can expect TQQQ to vary, on average, by $\pm 15\%$ per week.

2— Because of QQQ being the underlying security that TQQQ is tracking, you gain the security that QQQ will not go bankrupt soon, since this would require that the top 100 highest-valued stocks on NASDAQ go bankrupt.

3— You can avoid the greatest criticism against holding TQQQ, which is its assured return degradation as illustrated in equations (2), (4), and (5).

My January 2014 paper on **Fixed Fractions**, provides methods for reversing the long-term return degradation in a trading system. It even recommends over-compensating by designing systems with built-in edges, which is what is being used in this case, and doing it relatively well.

4— My OPPW strategy plays on return percentages. Some we accept as is, others we deliberately take by fixing the returns we want or will accept from the system. We put barriers in front of TQQQ's quasi-random-walk gyrations, waiting for them to be hit. There is a big difference between trading for a fixed amount profit and going for percentages, which will take whatever amount as profit.

5— Playing for percentages makes the strategy entirely scalable. If a simulation gives a $\pm r_i$ for trade i , it will be the same for anyone using the same trade mechanics, no matter the size of the bet. It is why, as expressed in equation (6), that the returns on all trades count wherever these r_i are in the series of returns.

6— Because the strategy is 100% scalable, the easiest way to increase its outcome is to increase the initial capital. The portfolio equations suggest that doubling the initial capital will result in a doubling of the outcome. For example, using the equation for week #813 presented above, we could increase the initial capital by a factor of 10, which would give:

$$2025 : F(t) = 0.5252 \cdot \$1,000,000 \cdot (1 + 0.0472)^{434} \cdot (1 - 0.0292)^{379} = \$3,430,580,520$$

as simple as that.

A demonstration would be simple as well. Run your backtest with \$1 million as initial stake; see the result in Figure #13 below.

The above portfolio equation was close enough. The difference comes from the

rounding of the return rates to the second decimal.

Figure #13 also states that pursuing the added initial capital is worth more than what the trading strategy itself would have achieved with a lesser stake. Even doubling your initial capital would give you twice as much as week #813. And since the strategy is scalable, you can also start with a smaller amount. Change the initial capital in the above equation to whatever amount you want; the equation will hold as demonstrated. Even half of equation (7) should be an acceptable retirement fund for most.

Figure #13: My OPPW TQQQ Portfolio Metrics (Sept. 12, 2025) With \$ 1,000,000.

Sept. 12, 2025

Metrics Report		Equity Curve	
Select ScoreCard: Basic ScoreCard		Select ScoreCard: Basic ScoreCard	
	Strategy	Benchmark (QQQ)	
Summary			
Starting Capital	1,000,000.00	1,000,000.00	
Profit	3,431,977,420.48	12,614,059.89	
Profit %	343,197.74%	1,261.41%	
Profit Per Bar	17.64	16.09	
APR	68.61%	18.24%	
Std Dev of Annual Ret...	147.94%	20.34%	
Exposure	52.52%	99.99%	
Maximum Exposure	99.91%	100.00%	
EAR	130.65%	18.24%	
Alpha (α)	45.79	-	
Beta (β)	1.25	-	
Sharpe Ratio	1.48	1.06	
Sortino Ratio	2.43	1.73	
WL Score	61.00	11.74	
Slope of Equity Curve	466,060.92	2,733.30	
Interest, Commission...			
Commission Paid	0.00	0.00	
Cash Interest Received	0.00	0.00	
Margin Interest Paid	-0.00	-0.00	
Maximum Margin Used	1.00	1.00	
Dividends Received	0.00	0.00	
Total Currency Adj	0.00	0.00	

Metrics Report		Equity Curve	
Select ScoreCard: Basic ScoreCard		Select ScoreCard: Basic ScoreCard	
	Strategy	Benchmark (QQQ)	
Positions			
Position Count	813	1	
Avg Profit	4,221,374.44	12,614,059.89	
Avg Profit %	1.15%	1,261.44%	
Profit Factor	1.67	-	
Payoff Ratio	1.61	-	
Avg Bars Held	3.26	3,920.00	
Avg Trades Per Month	8.65	0.01	
Avg Bars Held as % of...	0.08	99.97	
Largest Bars Held as %...	0.13	99.97	
NSF Position Count	0	0	
NSF Ratio	0.00	0.00	
Drawdown			
Max Drawdown	-661,991,404.20	-3,339,111.34	
Max Drawdown Date	3/13/2025	12/28/2022	
Max Drawdown %	-53.31%	-35.62%	
Max Drawdown % Date	8/22/2011	12/28/2022	
Recovery Factor	5.18	3.78	
Profitable Positions			
Count	434	1	
Max Consecutive	11	1	
% Profitable	53.38%	100.00%	
Avg Profit	19,763,906.50	12,614,059.89	
Avg Profit %	4.72%	1,261.44%	
Average Bars Held	3.20	3,920.00	
Unprofitable Positions			
Count	379	0	
Max Consecutive	7	0	
% Unprofitable	46.62%	0.00%	
Avg Loss	-13,576,670.19	-	
Avg Loss %	-2.93%	-	
Avg Bars Held	3.33	-	

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7— For anyone building a retirement fund, the simple future value equation $FV = PV \cdot (1 + \bar{r})^t$ is still the governing equation. You cannot control time, but you have access and can set the initial capital (PV) to invest and find ways to maximize your average growth rate $\bar{r}$, as much as you can. That is what this trading strategy can do for you, even with all those ups and downs.

8— It is not all. You can improve this OPPW TQQQ strategy in a multitude of ways

and make it your own using your trading rules. Consider this a template, trying to show you that you can do it. Moreover, you can do it using simple trading rules. But that should not stop you from making them more complicated if you want, especially if it generates even higher returns.

Consider this strategy as your starting point, demonstrating that you can outperform market averages. Use equation (9) as a basis to express the addition of a new trade type. It could give you something like the following:

$$F(t) = f_0 \cdot (1 + \bar{r})^{N+n_E} = f_0 \cdot (1 + \bar{r}_A)^{n_A} \cdot (1 + \bar{r}_B)^{n_B} \cdot (1 + \bar{r}_C)^{n_C} \cdot (1 + \bar{r}_D)^{n_D} \cdot (1 + \bar{r}_E)^{n_E} \quad (13)$$

where a Type-E trade is added, either as a transformation of existing trades or creating new ones. What you would want is to have $\bar{r}_E > 0$, and it would raise the outcome.

9— My OPPW TQQQ strategy ignores MPT entirely. It plays its game navigating TQQQ's gyrations with the assurance that there will be price variations of such magnitude that whatever path TQQQ's price will take, it will encounter some of the barriers put in its way. You will still have winning and losing trades; you will never know which one you will get next. But over the long run, you will not mind so much about that since your portfolio will follow about the same curve as in Figure #2.

10— Apart from the initial capital, you will need character, discipline, perseverance, and conviction in yourself to carry out this trading strategy to term. However, to undertake a 20-year project, you will also need determination. And most importantly, you will need to convince yourself that you are correct in what you intend to do. You can gain that conviction by first understanding the inner workings of this trading strategy. And then verify it all to your satisfaction, because the only person that matters in this quest is you.

Will you be there to take up the challenge?

AN AFTERTHOUGHT

It is rare that we can claim a stock or ETF trading strategy is designed and structured to last. It takes only a few months to a few years to see thousands of those strategies abandoned or highly revised to adapt to their unforeseen future. We have seen it before, so many times, so many trading strategies fail once they go live and fall short of their expectations.

Marcos López de Prado, in his excellent paper, tells us that most trading strategies fail over the long term. I will emphasize the word "most". Nonetheless, he does make a good case. It is not all of them, evidently. However, we are, regardless, forced to choose our trading strategy a long time before that 10 to 15-year future outcome.

You still have to make that bet: will your selected strategy(s) work or not? Will the

strategy you choose be one of those that will work in step with the average result of your simulations?

My OPPW TQQQ trading strategy wins, by no fault of our own. It has the same structure as a game of chance with its playing rules. The trading rules are simple enough; you can execute them by hand, on your cellphone from anywhere, and it requires less than 5 minutes of your time per week. The way the trading rules impact your portfolio is almost predetermined. The trading rules remain fixed, as barriers to whatever the market's gyrations may be. The rules don't even consider outside opinions or market data, other than the price of TQQQ.

The reason the strategy works is anchored in gaming theory. As presented in Table #7 in **THE ANTICIPATED FUTURE** of my paper of last August 2025, where even in a coin-tossing game, you will win the game if it has the equivalent of a "Type-C" play. In that fair coin-tossing game, you had one of the four probable outcomes that could be clawed back, the equivalent of taking your bet off the table.

Something you do not have in games of chance is the ability to remove your bet after you made it, which is an integral part of this stock trading game. You can sell your position whenever you want for whatever reason you have. The break-even stop-loss can play a critical role here. Furthermore, we can apply it with ease. You set your condition, which will put this conditional sell limit order in the books at the break-even price.

If the game in Table #7 of the above-cited paper wins the game even using randomly generated coin flips. It provides a foundation that allows you to utilize the same trading techniques and apply them to your long-term trading portfolio.

Go back to Figure #6 above. If you move the dark red barriers slightly to either side, it will not alter the general nature of that chart. You will still have the four trade types as presented. And Type-C trades will make the difference, just as they did in Table #7 of **THE ANTICIPATED FUTURE** mentioned previously.

You have Ed Thorp in the 1960s with his book – **Beat the Dealer** – where he advocated that simply counting cards in playing 21 (Blackjack) could put the odds in your favor, giving you an edge. He was beating a game of chance where the odds were in favor of the house. A game you were supposed to lose, the more you played.

If he had had a way to design his betting structure the same way I have structured the OPPW TQQQ trade types, with the ability to claw back some of his bets, he would have been delighted. Understanding that with such odds, the game would now be in his favor even more, and after making many bets, he would benefit from his improved "average" edge.

My strategy operates under a similar structure, with its own set of trading rules.

The break-even stop-loss is a simple solution to the game's structure. It will lead to increasing results as you add trades. **My One Percent Per Week TQQQ Trading Strategy: OPTIMIZING?** demonstrates, even after its 71-week walk-forward, that it did not slow down.

Figure #7 above shows a rising CAGR over the last 15.5 years. And Figures #10, #11, and #12 show that requesting the same behavior as in the first 15.5 years is not an illusion, but a simple continuation of what was before. The betting methods did not change. And the game itself has not changed either.

Look at my strategy for what it is. It can give you a tremendous edge in this trading game. Paper trade it for two to six months to see how it behaves. Then decide what you would like to do.

I presented 15.5-year results, which showed impressive numbers, not only to highlight what has been. But also to demonstrate that the strategy, even after 15.5 years, continues to yield increasing results, just as the trading rules, gradually pushing in the same direction, despite all its ups and downs.

Figure #14: My OPPW TQQQ Portfolio Metrics (Sept. 19, 2025).

Sept. 19, 2025			Metrics Report			Equity Curve		
Metrics Report			Equity Curve			Equity Curve		
Select ScoreCard: Basic ScoreCard			Select ScoreCard: Basic ScoreCard			Select ScoreCard: Basic ScoreCard		
Summary			Positions			Drawdown		
Strategy	Benchmark (QQQ)		Strategy	Benchmark (QQQ)		Strategy	Benchmark (QQQ)	
Starting Capital	100,000.00	100,000.00	Position Count	814	1	Max Drawdown	-66,198,590.40	-333,824.80
Profit	362,025,318.39	1,290,520.65	Avg Profit	444,748.55	1,290,520.65	Max Drawdown Date	3/13/2025	12/28/2022
Profit %	362,025.32%	1,290.52%	Avg Profit %	1.16%	1,290.89%	Max Drawdown %	-53.31%	-35.62%
Profit Per Bar	17.71	16.44	Profit Factor	1.70	-	Max Drawdown % Date	8/22/2011	12/28/2022
APR	69.08%	18.38%	Payoff Ratio	1.61	-	Recovery Factor	5.47	3.87
Std Dev of Annual Ret...	147.97%	20.31%	Avg Bars Held	3.26	3,925.00	Profitable Positions		
Exposure	52.81%	99.99%	Avg Trades Per Month	8.66	0.01	Count	435	1
Maximum Exposure	99.91%	100.00%	Avg Bars Held as % of...	0.08	99.97	Max Consecutive	11	1
EAR	130.80%	18.38%	Largest Bars Held as %...	0.13	99.97	% Profitable	53.44%	100.00%
Alpha (α)	46.08	-	NSF Position Count	0	0	Avg Profit	2,015,119.23	1,290,520.65
Beta (β)	1.25	-	NSF Ratio	0.00	0.00	Avg Profit %	4.72%	1,290.89%
Sharpe Ratio	1.48	1.06	Unprofitable Positions			Average Bars Held	3.20	3,925.00
Sortino Ratio	2.45	1.75	Count	379	0			
WL Score	61.07	11.83	Max Consecutive	7	0			
Slope of Equity Curve	47,034.37	273.99	% Unprofitable	46.56%	0.00%			
Interest, Commission...			Avg Loss	-1,357,655.80	-			
Commission Paid	0.00	0.00	Avg Loss %	-2.93%	-			
Cash Interest Received	0.00	0.00	Avg Bars Held	3.33	-			
Margin Interest Paid	-0.00	-0.00						
Maximum Margin Used	1.00	1.00						
Dividends Received	0.00	0.00						
Total Currency Adj	0.00	0.00						

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You can compare the following chart for Sept. 19, 2025, to the chart in Figure #1 as of Sept. 12: a one-week difference. The strategy added one trade to its 813 trades.

The trade for this week had a 5.49% return on its previous portfolio value as of September 12. The strategy plays on weekly returns. Sometimes, the return will be positive, and at other times, it will be negative. Overall, your portfolio will fluctuate from trade to trade, but it will generally tend to rise over the years.

You will still expect higher volatility due to the 3x-leverage scenario.

All those who would have followed the strategy would have had this Type-B trade, with its 5.49% return for the week ended Sept. 19, 2025. No matter the size of their portfolio. All that was required was to make your bet and follow the trading rules. On average, we have approximately 17 such trades per year that end as a Type-B trade, which account for nearly 34% of all trades.

Another chart of interest is the monthly return distribution over the years.

According to Figure #15, the strategy is on pace for a 100% CAGR for the year. Impressive. Notwithstanding, every week is a new week with unknown results. Some weeks are positive and others are not.

Figure #15: My OPPW TQQQ Monthly Return Distribution (Sept. 19, 2025).

Analysis Series			Rolling Profit		Positions		Position Metrics			Periodic Returns			Monthly Returns	
Average Monthly Return: 5.15%			Average Trades per Month: 8.66											
Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Annual	Benchmark Annual
2010		3.59%	25.98%	13.25%	-27.32%	-30.03%	12.22%	-13.75%	19.11%	4.02%	-6.22%	7.39%	-9.24%	25.85%
2011	21.39%	11.04%	-12.19%	8.76%	-3.50%	5.98%	5.20%	-36.34%	41.80%	10.34%	7.22%	0.44%	48.56%	2.51%
2012	15.42%	19.09%	10.89%	1.87%	16.57%	12.96%	-2.44%	11.70%	-0.40%	-15.41%	4.12%	1.34%	98.07%	16.65%
2013	10.36%	-4.02%	10.97%	15.52%	10.06%	-12.91%	-0.35%	-2.09%	5.46%	8.91%	7.17%	-2.58%	52.30%	35.05%
2014	-7.25%	9.62%	2.77%	10.92%	11.11%	5.23%	7.90%	10.74%	-2.41%	10.62%	12.37%	-1.99%	92.50%	17.87%
2015	-3.39%	22.91%	-0.37%	11.79%	-1.64%	4.86%	3.18%	-7.86%	-9.08%	8.86%	7.80%	10.95%	53.51%	8.34%
2016	-14.74%	-9.20%	4.16%	-7.99%	0.49%	-2.57%	15.07%	-0.70%	1.68%	-3.71%	4.20%	10.15%	-6.72%	5.92%
2017	15.75%	12.39%	9.89%	7.46%	10.24%	-1.87%	6.37%	-4.90%	-3.44%	0.39%	8.80%	4.24%	84.83%	31.46%
2018	18.33%	9.80%	-2.20%	5.75%	8.59%	9.28%	8.11%	5.29%	-2.70%	-1.57%	-9.50%	-16.05%	32.08%	-0.96%
2019	8.99%	2.96%	21.08%	15.34%	-6.64%	6.60%	5.47%	2.90%	0.32%	-0.96%	7.27%	1.85%	83.68%	37.82%
2020	22.79%	14.22%	50.54%	29.70%	9.84%	56.30%	11.01%	14.87%	15.06%	-3.24%	-2.49%	14.94%	648.08%	47.56%
2021	-8.80%	-9.08%	-3.23%	14.58%	-7.28%	18.60%	13.38%	5.43%	-9.58%	16.68%	-6.52%	18.13%	40.80%	26.81%
2022	5.34%	14.54%	-5.43%	-5.06%	10.40%	8.93%	5.15%	0.72%	-11.09%	29.94%	16.92%	2.56%	91.15%	-33.07%
2023	6.74%	11.67%	14.07%	-4.38%	6.40%	6.19%	8.28%	-2.52%	-15.37%	-0.24%	25.64%	12.51%	85.03%	53.79%
2024	0.29%	5.17%	-3.26%	-18.87%	11.54%	8.87%	-17.16%	18.94%	-0.07%	-5.75%	4.46%	-3.47%	-5.94%	24.84%
2025	9.89%	0.51%	-13.22%	26.19%	4.44%	15.22%	7.42%	8.40%	21.31%				105.58%	17.24%

([Click here to enlarge](#))

The same applies to periods of up and down months or years. Regardless, a 69.08% CAGR, as in Figure #14, should have been acceptable for most people.

Note that the first year for the strategy was volatile. Every down month has recovered, and the strategy has continued to make new highs after new highs – a trend expected to persist in the future.

This is not your traditional stock trading strategy, based on fundamentals and technical indicators, trying to optimize some aspect of this trading world. But, does it really matter if your trading methods win the game without any of that?

It is up to you to verify all of this. As I have mentioned many times, do your own simulations; you have the program code.

I have already done that job to my satisfaction. I do not need more convincing. Follow the math, as I did. You have the equations that explain how this trading strategy behaves. You can use the same equations to make rough estimates of what it will do in the future.

Ensure that your trading decisions, rules, and procedures are accurate and effective, not just for a few years, but for many years to come.

At least, with this paper — **My One Percent Per Week TQQQ Trading Strategy: OPTIMIZING?** — you were made aware of the possibilities. As I have said before, it is all up to you.

Related Papers and Articles:

[My One Percent Per Week TQQQ Trading Strategy: A WINNING EXAMPLE](#)
[My One Percent Per Week TQQQ Trading Strategy: A WINNER'S GAME](#)
[My One Percent Per Week TQQQ Trading Strategy: THE ANTICIPATED FUTURE](#)
[The One Percent Per Week TQQQ Trading Strategy: KA-CHING, KA-CHING](#)
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[The Long-Term Stock Trading Problem: Part I, and Part II](#)

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